ENCAP INVESTMENTS L.P.

EnCap Energy Capital Fund VII

Quarterly Review

As of June 30, 2022

Confidential

EnCap Energy Capital Fund VII

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Section I: Summary of Significant Events and Valuation

Activity for the three months ended June 30, 2022

Transactions		
Type	*#*	*$ in millions*
Commitments	0	0.0
Investments	0	0.0
Realizations-Cash	4	103.2

In July 2017, the life of Fund VII was extended from July 31, 2017 to December 31, 2018 as approved by a vote of the Limited Partners. Fund VII was placed into liquidation on December 31, 2018 upon the expiration of this extension. EnCap will act as liquidator on a non-fee basis, and the fund is expected to be completely wound down in 2022.

Fund VII is considered fully funded. As such, there were no commitment or investment transactions during the quarter.

Fund VII received cash distributions from the following portfolio companies ($ in millions):

Distributions:		
Earthstone	$	51.2
Phillips II		49.6
Limestone II		2.3
Enduring II		0.1
	$	103.2

Fund Performance Summary ($ in millions)

The table below presents investment performance since inception. A valuation by investment is incorporated in the subsequent table.

Date of Initial Investment	*Total Committed*	*Capital Invested*	*Realized Proceeds*	*Unrealized Value*	*Total Value*	*Gross IRR*	*Net IRR*
Sep-07	$ 2,553.1	$ 2,553.1	$ 4,053.7	$ 7.2	$ 4,060.9	24.4%	14.5%

Portfolio Status

Fund VII

(As of June 30, 2022; $ in millions)

Company	Date of Initial Investment	Commitment	Total Capital Invested	Realized Proceeds	Unrealized Value	Total Realized Proceeds & Unrealized Value	ROI	Gross IRR
Realized or Substantially Realized Investments								
Common	Sep-07	$ 31.9	$ 31.9	$ 95.4	$ -	$ 95.4	3.0x	119.4%
Red Arrow	Sep-07	26.3	26.3	71.6	-	71.6	2.7	54.3
Plantation IV	Sep-07	36.0	36.0	88.6	-	88.6	2.5	32.7
Cordillera III	Sep-07	72.9	72.9	244.7	-	244.7	3.4	48.6
Legado	Sep-07	60.4	60.4	55.3	-	55.3	0.9	(2.1)
Cheyenne River	Sep-07	61.5	61.5	10.4	-	10.4	0.2	(26.6)
Oasis	Oct-07	61.5	61.5	298.7	-	298.7	4.9	72.6
Piedra	Nov-07	45.1	45.1	109.7	-	109.7	2.4	46.6
ER Energy Group	Dec-07	317.3	317.3	6.8	-	6.8	0.0	(62.8)
Earthstone	Dec-07	256.9	256.9	55.8	-	55.8	0.2	(14.7)
Limestone	Apr-08	36.1	36.1	132.8	-	132.8	3.7	101.3
RiverStone	May-08	17.4	17.4	31.3	-	31.3	1.8	4,606.9
OGX II	May-08	101.0	101.0	434.3	3.7	438.0	4.3	37.4
Bold II	May-08	47.5	47.5	54.3	-	54.3	1.1	5.8
PetroEdge II	Jul-08	87.5	87.5	119.3	-	119.3	1.4	16.1
Royal	Jul-08	51.5	51.5	22.6	-	22.6	0.4	(18.0)
Protégé II	Aug-08	87.1	87.1	203.0	-	203.0	2.3	44.2
Cardinal	Sep-08	149.9	149.9	280.1	-	280.1	1.9	34.6
HVL Energy	Nov-08	31.2	31.2	8.2	-	8.2	0.3	(31.2)
Unconventional Res.	Nov-08	107.7	107.7	13.0	-	13.0	0.1	(31.3)
Marquette	Dec-08	41.6	41.6	223.1	-	223.1	5.4	145.0
Cornerstone	Apr-09	95.2	95.2	11.5	-	11.5	0.1	(70.9)
Tracker	Jun-09	12.6	12.6	43.6	-	43.6	3.5	114.9
Empresa II	Jul-09	81.0	81.0	90.1	-	90.1	1.1	444.3
Paloma II	Nov-09	124.0	124.0	423.7	-	423.7	3.4	81.3
Enduring	Mar-10	41.7	41.7	96.7	-	96.7	2.3	333.4
Phillips II	Mar-10	51.0	51.0	86.9	0.7	87.6	1.7	6.6
Common II	May-10	27.4	27.4	45.4	-	45.4	1.7	49.6
Caiman	Jul-10	44.3	44.3	195.1	-	195.1	4.4	140.6
Lone Star II	Aug-10	14.2	14.2	1.1	-	1.1	0.1	(30.0)
Limestone II	Oct-10	184.0	184.0	58.6	-	58.6	0.3	(36.6)
Enduring II	May-11	106.2	106.2	303.0	2.8	305.8	2.9	68.2
Piedra II	Jul-11	43.2	43.2	139.0	-	139.0	3.2	48.3
		$ 2,553.1	**$ 2,553.1**	**$ 4,053.7**	**$ 7.2**	**$ 4,060.9**	**1.6x**	**24.4%**

Comparison to prior quarter
($ in millions)

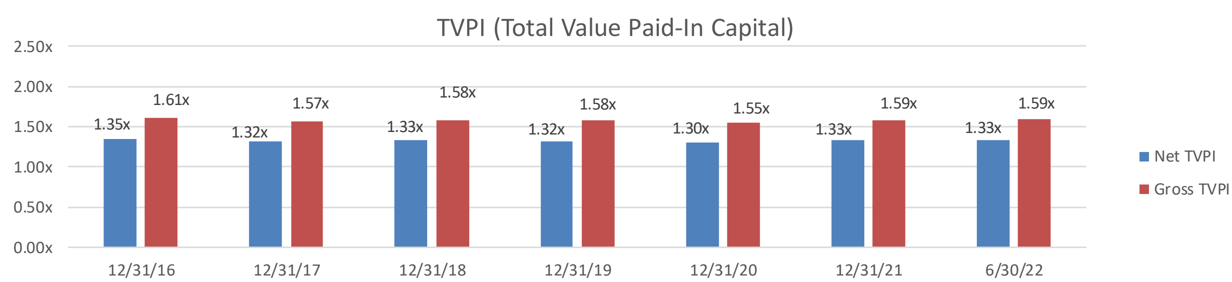
	Valuation 3/31/2022	Valuation 6/30/2022	Q2 2022 Cash Inv. (Distrib.)	Valuation Increase (Decrease)	% Change in Unrealized from 3/31/2022	Comments (> $5MM and 5% change)
OGX II	$ 3.7	$ 3.7	$ -	$ -	0.0%	
Phillips II	51.8	0.7	(49.6)	(1.5)	-2.9%	
Limestone II	2.3	-	(2.3)	-	0.0%	
Earthstone	51.2	-	(51.2)	-	0.0%	
Enduring II	1.9	2.8	(0.1)	1.0	52.6%	
	$ 110.9	$ 7.2	$ (103.2)	$ (0.5)	-0.5%	

Fund Status

($ in millions)

	12/31/16	12/31/17	12/31/18	12/31/19	12/31/20	12/31/21	6/30/22
Total Commitments	2,551.0	2,551.0	2,551.0	2,551.0	2,551.0	2,551.0	2,551.0
Total Paid-In Capital	2,764.3	2,784.7	2,784.7	2,784.7	2,784.7	2,784.7	2,784.7
Recallable Capital	311.8	311.8	311.8	311.8	311.8	311.8	311.8
% Total Capital Drawn*	96.1%	100.0%	100.0%	100.0%	100.0%	100.0%	100.0%
Remaining Commitment*	98.5	-	-	-	-	-	-
Investments at Cost	2,528.3	2,553.1	2,553.1	2,553.1	2,553.1	2,553.1	2,553.1
Investments at FMV	4,072.9	4,001.6	4,041.8	4,031.0	3,960.7	4,055.2	4,060.9
Gains (losses) - on unrealized companies	(284.8)	(409.4)	(436.2)	(442.5)	(355.2)	(201.1)	-
Gains (losses) - on realized companies	1,829.4	1,857.9	1,924.9	1,920.4	1,762.8	1,703.2	1,507.8
Gross Distributions	3,736.1	3,783.5	3,807.2	3,857.5	3,873.0	3,947.0	4,053.7
Cash Balance	17.8	10.8	19.0	1.6	3.1	2.0	4.0
# of Companies Funded	33	33	33	33	33	33	33
# of repeat teams	16	16	16	16	16	16	16
# of new teams	17	17	17	17	17	17	17
Realized above cost	22	22	23	23	23	23	23
Realized below cost	5	5	7	7	8	9	10
Unrealized above cost	1	1	-	-	-	-	-
Unrealized at cost	-	-	-	-	-	-	-
Unrealized below cost	5	5	3	3	2	1	-
Gross Distributions:							
% of total drawdowns	135.2%	135.9%	136.7%	138.5%	139.1%	141.7%	145.6%
% of committed capital	146.5%	148.3%	149.2%	151.2%	151.8%	154.7%	158.9%
Key Fund Valuation Metrics:							
Gross IRR	25.5%	24.8%	24.7%	24.5%	24.3%	24.4%	24.4%
Gross DPI (Distributions to investment)	1.48x	1.48x	1.49x	1.51x	1.52x	1.55x	1.59x
Gross RVPI (Residual value to paid-in capital)	0.13x	0.09x	0.09x	0.07x	0.03x	0.04x	0.00x
Gross TVPI (Total value to paid-in capital)	1.61x	1.57x	1.58x	1.58x	1.55x	1.59x	1.59x
Net to LPs:							
Net IRR	15.9%	14.7%	14.7%	14.6%	14.2%	14.5%	14.5%
DPI (Distributions to paid-in capital)	1.25x	1.25x	1.25x	1.27x	1.28x	1.30x	1.33x
RVPI (Residual value to paid-in capital)	0.10x	0.07x	0.07x	0.05x	0.03x	0.03x	0.00x
TVPI (Total value to paid-in capital)	1.35x	1.32x	1.33x	1.32x	1.30x	1.33x	1.33x

Historical Fund Performance (TVPI)



* Includes recallable capital; Fund VII considered fully funded as of July 31, 2017 (end of 10 year life).

Projected Contributions and Distributions as a Percentage of Commitment

	2022	2023	2024
Contributions	0%	0%	0%
Distributions	4%	0%	0%

Significant Events and Transactions

Earthstone - In April 2022, Fund VII closed the sale of all of its 4.6 million shares in Earthstone for $51 million in total proceeds

Environmental, Social and Governance Highlights

During the due diligence phase of our investment process, EnCap ensures that the prospective management team members are fully aligned with EnCap's Environmental, Social and Governance ("ESG") building blocks prior to making the investment decision. Upon partnering with a new team, EnCap requires each portfolio company to have a likeminded ESG policy and supporting policies and procedures in place. In addition, EnCap requires each portfolio company to report on significant ESG issues and provide details of ongoing ESG developments during each quarterly Board meeting. This information is used by EnCap to quantitatively measure ESG activities and the impact on the performance of each portfolio company.

During Q2 2022, EnCap managed Fund VII in accordance with ESG policies. There were no material changes to the ESG risks and opportunities facing the portfolio, and there were no material ESG incidents to report during the quarter.

Additionally, refer to our second EnCap Sustainability Report – Upstream Portfolio Companies and EnCap Sustainability Report – GP covering 2020 available on our FIS DX website.

Other Reporting Matters

In addition to this report (which contains all fund financial statements in Section IV), the following reports net to each Limited Partner are available on our Investran DX website:

1. Statement of Partner's Capital, including allocation of the following:
    a. Management fees
    b. Net operating income (loss)
    c. Realized gains (losses)
    d. Unrealized gains (losses)
    e. Unrealized incentive allocation
    f. Incentive payments to the GP
    g. Contributions paid
    h. Distributions received
    i. Recallable distributions received
    j. Tax withholdings, if applicable
    k. Portfolio company summary cash flows

2. Status of Payout

3. ILPA Fee and Expense Reporting Template

Other reporting available on our Investran DX website includes:

1. Cash call and distribution notices

2. Quarterly management fee calculations

3. Supplemental fund and portfolio company information (available 45 days after quarter end; 105 days after year end)

    a. Fund organization information
    b. Portfolio company organization information
    c. Portfolio company financial information

4. Supplemental Schedule of Investments

5. All tax reporting

6. Annual audited financial statements

7. Advisory Board presentations

8. Legal documents

Please contact Katherine Cangelosi at Kcangelosi@encapinvestments.com if log on assistance is needed.

Section II: Industry Overview

Crude Oil Overview

Crude spot prices ("WTI") and fundamentals continued to remain healthy during the quarter, increasing and settling at $107.76/Bbl, a 7% increase QoQ and 47% increase YoY. Oil demand is now back to near pre-Covid levels with Covid lockdowns in China ending. Near-term U.S. and global recession fears, however, have pushed oil prices to the mid-$90/Bbl range subsequent to quarter-end after peaking at $121.94/Bbl on June 8, 2022. Inventory levels and the physical market still remain tight despite concerns of a potential recession. A number of bullish near-term drivers remain, namely 1) China's strong return and seeming unwillingness to lock down again 2) increasing perceived risk of Russian oil and gas supply cuts as tensions rise into winter and 3) still strong demand readings outside the U.S. and in global mobility data. As we move into 2023 this recent oil price rally, along with the soaring dollar, rising interest rates, swelling food prices and other inflationary concerns, should slow economic growth and oil demand. Most analysts believe that in 2023 the global oil supply should grow slightly, but fundamentally the market is still well positioned for healthy oil prices.

Natural Gas Overview

Natural gas spot prices ("Henry Hub") continued to climb during the quarter finishing up 20% QoQ and 73% YoY. The 5-year natural gas strip finished the quarter at an average of $4.62/MMBtu and subsequent to quarter-end has risen to the low ~$6/MMBtu range as 1) Russian/Ukraine geopolitical tensions remain high 2) Global demand and U.S. exports continue to ramp and 3) U.S. production growth has muted and been slower than most industry experts expected due to operator capital discipline and infrastructure constraints. Pricing fundamentals remain strong as we push into peak demand winter months and additional pricing increases could occur if the Russian/Ukrainian conflict escalates or if Europe experiences a cold winter. Medium to long-term fundamentals remain strong even as the world continues to transition to cleaner sources of fuel.

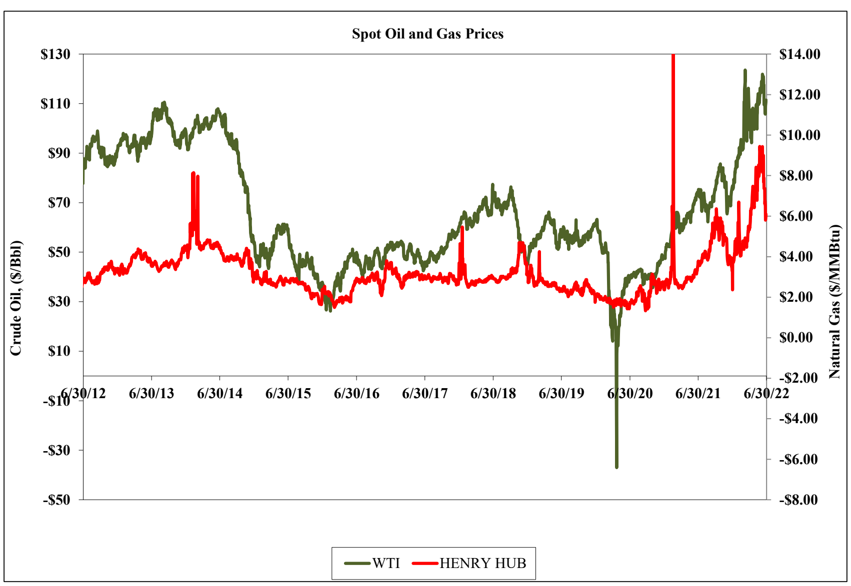


Figure 1: Oil & Gas Spot Prices

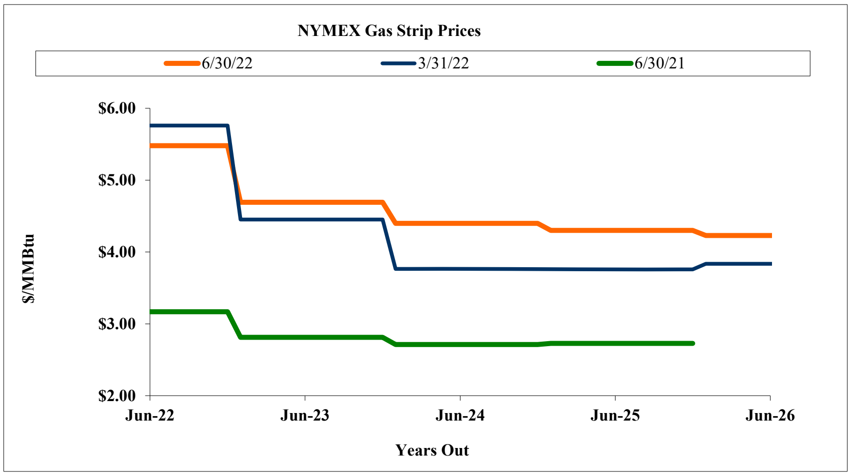


Figure 2: Natural Gas (Henry Hub) Strip Prices

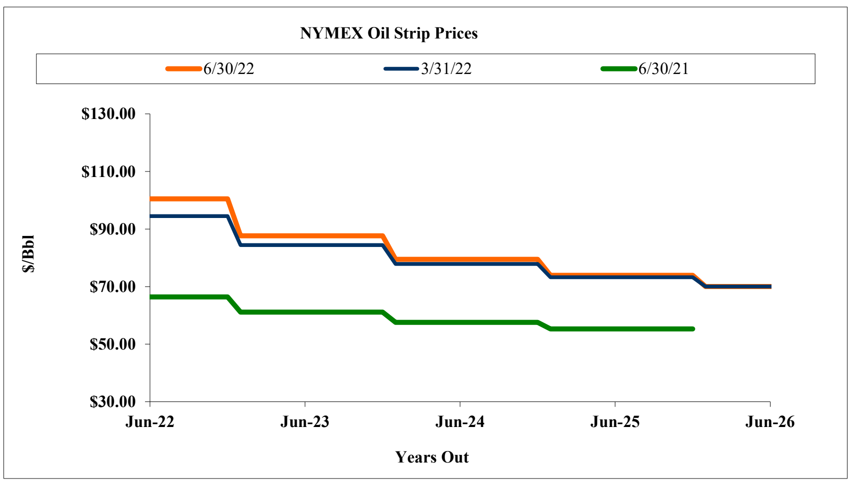


Figure 3: Crude Oil (WTI) Strip Prices

Drilling Activity

During Q2 2022, the total U.S. rig count (as measured by Baker Hughes) increased 12% QoQ to 753 rigs. This total rig count represented an increase of 60% YoY. The U.S. total natural gas rig count finished the quarter at 157 rigs, up from 137 rigs running at the end of Q1 2022. Year-over-year, the U.S. total natural gas rig count finished up 60%. The U.S. total oil rig count increased 12% during Q2 2022, moving from 531 rigs at the beginning of the quarter to 594 rigs at quarter-end. Year-over-year, the U.S. total oil rig count is up 60% or ~222 rigs.

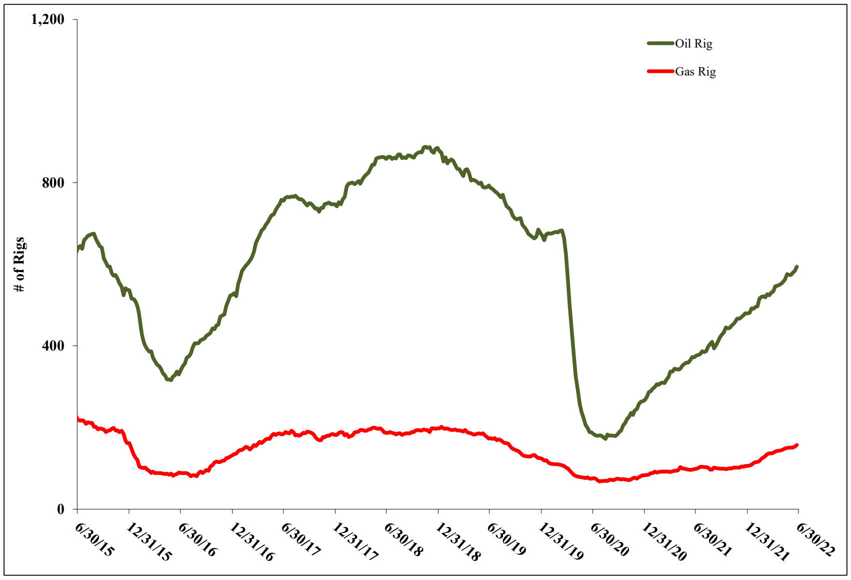


Figure 5: U.S. Total Onshore and Offshore Rig Count

M&A Activity

Heightened volatility in commodity prices and increased bid/ask spreads led to the quarter getting off to a slow start with the month of April experiencing the lowest monthly transaction total in two years. The market however rebounded in the second half of the quarter as a number of private equity firms tried to take advantage of high commodity prices. These increased private equity offerings pushed the U.S. upstream M&A quarterly activity total to $12 billion. Overall private equity sponsored sales accounted for ~80% of the total value in Q2 2022. The Permian Basin was the most active region for M&A activity during the quarter, accounting for ~50% of the total value. Wide bid/ask spreads remain the key challenge for buyers and sellers. M&A valuations on PDP have failed to keep pace with the run-up in commodity prices and cash flow multiples have compressed as buyers seek downside protection for their bids. The three largest transactions during the quarter were 1) Centennial's and Colgate's merger of equals creating a ~$7 billion Permian Basin company 2) Devon's acquisition of RimRock's Bakken assets for $865 million and 3) BKV Corp's acquisition of Exxon's Barnett Shale assets for $750 million.

Report Sources: Enverus, Baker Hughes, Rapidan Energy Group, and U.S. Energy Information Administration.

ENCAP INVESTMENTS L.P.

Energy Capital Fund VII

Section III: Portfolio Companies

Realized:

1. CORDILLERA ENERGY III
2. LEGADO RESOURCES
3. RED ARROW ENERGY
4. PLANTATION PETROLEUM IV
5. COMMON RESOURCES
6. CHEYENNE RIVER (formerly FOSSIL CREEK)
7. OASIS PETROLEUM
8. PIEDRA ENERGY I
9. ER ENERGY GROUP
10. LIMESTONE EXPLORATION
11. OGX HOLDING II
12. RIVERSTONE ENERGY
13. BOLD ENERGY II
14. PETROEDGE ENERGY II
15. ROYAL OFFSHORE
16. PROTÉGÉ ENERGY II
17. CARDINAL MIDSTREAM
18. HVL ENERGY
19. UNCONVENTIONAL RESOURCES
20. MARQUETTE EXPLORATION
21. CORNERSTONE
22. TRACKER RESOURCES
23. EMPRESA ENERGY II
24. PALOMA PARTNERS II
25. ENDURING RESOURCES
26. PHILLIPS ENERGY PARTNERS II
27. COMMON RESOURCES II
28. CAIMAN ENERGY
29. LONE STAR II
30. LIMESTONE RESOURCES II
31. ENDURING RESOURCES II
32. PIEDRA ENERGY II
33. EARTHSTONE (formerly OAK VALLEY)

Valuation Assumptions

Valuations are determined as follows (subject to adjustment for particular circumstances and review by the Advisory Board):

1) Private equity exploration and production investments held after the initial investment period (generally longer than twelve months unless an expansion from an earlier fund) are valued at the risk adjusted PV10 of the future cash flow stream. The future cash flow stream is based on third party engineered projections applying the NYMEX forward strip pricing as of the valuation date.

   The reserve categories were generally risked as follows:

   a. PDP – no discount applied
   b. PDNP – a 20% discount applied
   c. PUD – a 40% discount applied
   d. Probable – an 80% discount applied
   e. Possible – a 90% discount applied

   The average NYMEX strip prices by year as of June 30, 2022 were as follows:

	$/BO	$/MMBTU
2022	100.49	5.48
2023	87.66	4.69
2024	79.45	4.40
2025	73.95	4.30
2026+	70.02	4.23

   Unevaluated oil and gas leaseholds and other operating assets, such as gathering systems and processing plants, are valued in consideration of the original acquisition price and more recent public or private transactions in similar assets.

2) Non-producing and early stage mineral interests and ORRIs are valued at precedent transactions or discounted cash flows if underlying third-party reserve reports are available. Mature producing mineral interests and ORRIs are valued using a cash flow multiple of actual trailing 12 month cash flow. The cash multiple utilized is derived by taking into consideration market and asset specific factors including, but not limited to: location; life cycle or maturity of the asset; projected growth profile; precedent transactions; and comparable public market trading multiples.

3) Enduring II's value (Red Rocks) is based on the terms of their expected sale agreement.

4) OGX II is valued based on the expected indemnity holdbacks per the terms of their sale agreement.

5) Phillips Energy II value consists of ~42k shares of Kimbell Royalty Partners (NYSE: KRP) valued at the quarter end closing price of $15.68 per share.

Cordillera Energy Partners III, LLC

Fully Realized

Company Description

Cordillera III is a privately held, Denver based independent oil and gas company formed by a team of oil and gas professionals led by George Solich. The team initially partnered with EnCap in 2000 and pursued an "acquire and exploit" strategy focused on proved reserves, principally in the Rocky Mountain and Mid-Continent regions. Subsequently, Cordillera I was sold to Patina in October 2003 generating an IRR of 61.1% and ROI of 3.3x on Fund III's $37.4 million investment. In December 2004, EnCap and management formed Cordillera II to continue this acquire and exploit strategy. After exhausting its $200 million equity commitment through a series of acquisitions and exploitation activity, Cordillera II was sold in September 2008 for $649 million of cash and 7.25 million shares of Forest Oil Corporation (NYSE: FST) stock worth $371 million at the time the deal was priced ($51.16/share). Management and EnCap formed Cordillera III to pursue opportunities that were inconsistent with Cordillera II's asset mix and maturity level. Following the exit of Cordillera II, management has turned their full attention to Cordillera III where they are following the same low-risk strategy successfully executed in Cordillera I and II. This strategy entails selectively pursuing larger acquisitions from majors and large independents, combined with an aggressive exploitation plan and additional smaller bolt-on acquisitions.

Transaction Summary

Fund VI formed a limited liability company with Cordillera III in May 2007, committing $225 million alongside an additional $267.5 million from institutional co-investors. The management team committed $7.5 million providing total capital of $500 million. In September 2007, Fund VI reduced its exposure to Cordillera III to $150 million transferring $75 million of the commitment at equal terms to Fund VII. The investment takes the form of common equity with Fund VI and Fund VII receiving 29.7% and 14.8%, respectively, of the available cash flow until an 8% IRR is earned and, thereafter, distributions are allocated on a graduated basis until higher IRR targets are met. EnCap holds a majority position on the Board of Managers.

Post Investment Activity

Over a five-year period, the company successfully built a highly marketable position with interests in over 700 producing wells and over 250,000 net acres in the Anadarko Basin of the Texas Panhandle and Western Oklahoma by acquiring proved reserves and implementing an aggressive leasing effort to fill-in and expand its acreage footprint. Cordillera was running 12 directional rigs and using multi-stage frac technology to develop conventional reservoirs (principally the Granite Wash and Tonkawa formations). The company's drilling program led to the creation of over three billion barrels of equivalent resource potential.

In January 2012, Cordillera signed a merger agreement with Apache Corporation (NYSE: APA) to sell 100% of the outstanding interests of Cordillera and its affiliates for $2.85 billion ($2.25 billion of cash and 6.3 million shares of Apache stock). The transaction closed on April 30, 2012, generating a 2.3x ROI and a 35% IRR in cash-on-cash returns. Additionally, EnCap was issued 2.1 million shares of Apache stock.

Following the conclusion of the lock-up period, EnCap sold its APA shares in November 2012. In aggregate, EnCap sold 2,098,397 shares at an average price of $77.58 per share for total proceeds of $162.8 million ($108.5 million to Fund VI and $54.3 million to Fund VII). The APA stock sales generated cumulative cash-on-cash realized returns of 3.2x ROI/47% IRR on invested equity of $72.9 million in Fund VII. Inclusive of the collection of outstanding reserve amounts and indemnity deposits, total returns net to Fund VII are 3.4x ROI/49% IRR.

Valuation ($000's)

Date of Initial Investment	Capital Invested	Realized Proceeds	Unrealized Value	Total Value	ROI	IRR
Sep-07	$72,853	$244,744	$0	$244,744	3.36x	48.6%

Legado Resources, LLC

Fully Realized

Company Description

Legado is a Houston-area based oil and gas company focused on the acquisition, exploitation and implementation of secondary and tertiary recovery crude oil projects in mature domestic onshore basins in the Permian Basin, Gulf Coast, Illinois, Wyoming and Michigan. Legado represents a team of seasoned ex-Anadarko management members led by Mike Bridges. Mr. Bridges spent over 25 years with Anadarko holding positions as head of the Northern Rocky Mountain division, President of Anadarko Canada and Chief Engineer of the entire company. The other team members are also engineers with over fifteen years of experience each in a wide array of management roles at Anadarko. Management has a track record of using a variety of enhanced recovery techniques and will primarily focus on infill drilling, waterflooding and CO2 flooding in areas where the company can establish significant positions and operational control.

Transaction Summary

Initially, Fund VI committed $125.1 million and Fund VII committed $75 million alongside a $3 million commitment from management. During Q4 2007, a group of silent co-investors assumed $45 million of Fund VI's initial commitment amount bringing Fund VI's new maximum commitment amount to $80.1 million. These combined commitments provide the Company with a $203.1 million total equity commitment. EnCap's investment is structured in the form of common equity with the investor group receiving 98.5% of distributed cash until an 8% IRR is earned, and thereafter distributions will be allocated on a graduated basis as certain ROI targets are met. EnCap holds a majority position on the Board of Managers.

Post Investment Activity

Throughout its history, Legado acquired a series of geographically-diverse assets that were believed to be ideal enhanced oil recovery (EOR) candidates. In March 2008, Legado entered into an agreement with Energen Resources to purchase a 6,000 acre waterflood oil field (with significant CO2 flood upside potential) in the Permian Basin, the Goldsmith-Landreth San Andres Unit ("GLSAU"), for $16 million. In 2009, GLSAU's pilot program yielded highly encouraging results, and the company divested its non-core assets to focus on the development of this opportunity. Over the next few years, management grew GLSAU's production from 150 Bbls/d to ~1,500 Bbls/d, but the success of the project was hampered by operational issues, production shortfalls, and high capital requirements.

During Q2 2013, Legado closed on the sale of its GLSAU asset to Kinder Morgan in an all-cash transaction. After taking into account the retirement of debt obligations, adjustments, fees, expenses, and escrow requirements, Legado made an initial $118.0 million distribution to its investors on June 4, 2013 ($46.3 million net to Fund VI and $43.4 million net to Fund VII). Subsequently, the company made a $7.5 million distribution in December 2013 related to excess cash on the company's balance sheet and a $21.3 million distribution in June 2014 related to the release of the escrow funds from Kinder Morgan, resulting in a 0.9x ROI for both funds. While this investment yielded returns below EnCap's targeted thresholds, the Board deemed the sale to be in the best interest of its investors given the significant risk profile and capital requirements associated with the continued development of GLSAU.

Valuation ($000's)

Date of Initial Investment	Capital Invested	Realized Proceeds	Unrealized Value	Total Value	ROI	IRR
Sep-07	$60,375	$55,332	$0	$55,332	0.92x	(2.1)%

Red Arrow Energy, LLC

Fully Realized

Company Description

Red Arrow is a Houston based oil and gas company formed by Carter Overton, Brock Hudson and Allen McGee in early 2007 and is focused primarily on East Texas, South Texas and North Louisiana. The Red Arrow management team has worked together in one form or another for the past 13 years and maintains an excellent reputation and a proven track record (realizing 6.1x ROI over the last 15 years). Additionally, the company has a technical and operating staff that brings depth and a breadth of experience in land, reservoir engineering, operations, geology and drilling. Management's initial strategy was to balance two to four "acquire and exploit" transactions (acquisition of producing properties with significant PUD component) with several greenfield development projects (resource plays with statistical drilling).

Transaction Summary

Fund VI and Fund VII jointly committed $40.8 million each along with $0.3 million from management. Management also raised another $34 million from other institutional investors, providing the company with an approximate $115.9 million equity commitment. EnCap's investment is structured in the form of common equity with the investor group receiving 100% of distributed cash until an 8% IRR and 1.5x ROI is earned, and thereafter distributions will be allocated on a graduated basis as certain IRR and ROI targets are met. EnCap controls the Board of Managers.

Post Investment Activity

Red Arrow and Tracker Resource Development (another EnCap portfolio company) each own a 50% interest in Tracker Resource Exploration ND, LLC ("TREND"), a private operating company with in excess of 150,000 net acres and producing properties in the Bakken Shale resource play in North Dakota. Due to the large capital exposure over the next several years associated with developing the existing TREND asset base, TREND sold a 50% equity interest in substantially all of the assets to ZBI Ventures ("ZBI") for approximately $90.0 million. ZBI is an experienced, sophisticated investor in energy, and we believe they will be a good long-term partner in TREND. The combined entity is named TRZ Energy.

During Q4 2010, TRZ closed on the sale of the company and its Bakken Shale assets to Hess Corporation for $1.0428 billion. As a reminder, TRZ was owned 50% by the Ziff family ("ZBI"), 25% by Tracker II, and 25% by Red Arrow. In addition to the TRZ sale, Tracker II and Red Arrow (through their equal partnership in TREND LLC) also sold certain assets held outside of TRZ and primarily located in Stark County, ND to Hess for $7.2 million.

As a result of the operational success achieved by TRZ, coupled with a strong oil price environment and industry demand for Bakken Shale development upside, the combined $1.05 billion exit valuation resulted in very attractive sale metrics considering the high undeveloped acreage component of the assets (76% of allocated value).

Valuation ($000's)

Date of Initial Investment	Capital Invested	Realized Proceeds	Unrealized Value	Total Value	ROI	IRR
Sep-07	$26,346	$71,579	$0	$71,579	2.72x	54.3%

Plantation Petroleum Holdings IV, LLC

Fully Realized

Company Description

Plantation IV was a privately held oil and gas company founded by a team of oil and gas professionals led by Tom Meneley and Don Dotson. The team initially partnered with EnCap Fund IV in 2002 to purchase Maynard Oil Company and subsequently sold Maynard to Forest Oil Company in December 2003, yielding a 2.1x ROI and 68% IRR on Fund IV's $30 million investment. Immediately thereafter, EnCap Fund IV and management partnered to form Plantation II to purchase Zia Energy and subsequently sold the company to Range Resources in June 2005, providing a 5.9x ROI and 205% IRR on Fund IV's $10 million investment. Subsequently, EnCap Fund IV and V partnered with management in July 2005 to form Plantation III and sold the company's assets to E.V. Energy in October 2007, providing Fund IV and Fund V with a 2.0x ROI and 49% IRR on $33.1 million and $6.6 million invested, respectively. Plantation IV's strategy, consistent with Plantation I, II and III, was to acquire and exploit oil and gas properties that had been under-developed or under-exploited by previous owners.

Transaction Summary

EnCap Fund VI and Fund VII formed a limited liability company with Plantation IV in August 2007, initially committing $30 million each alongside an additional $16.5 million from Liberty (collectively the "Investor Group"). The management team committed $3.5 million providing total capital of $80 million. The structure and economic sharing ratios were similar to the prior Plantation structures, providing the Investor Group with 95% of the available cash until a 10% IRR and a 1.40x ROI were earned, and thereafter distributions were allocated on a graduated basis until higher IRR and ROI targets were met. EnCap held a majority position on the Board of Managers.

In conjunction with the closing of the LCS acquisition (mentioned below) the Company closed a pro-rata $40 million equity commitment increase ($30 million from EnCap, $8.25 million from Liberty and $1.75 million from management) from existing investors and management. This equity commitment expansion brought the total equity commitment to $120 million, thus increasing EnCap's total commitment from $60 million to $90 million ($45 million from Fund VI and $45 million from Fund VII). The structure and economic sharing ratios of the deal remained unchanged.

Post Investment Activity

During Q2 2009, Plantation closed a $58 million acquisition of eastern Permian Basin assets from LCS Production Company. The purchase price represented a slight premium to the properties PDP PV10 value of $56.1 million at the time. The assets were oily (~90%) and produced from traditional shallow Permian reservoirs (Strawn, Canyon Sands and Noodle Creek Limestone). The PDP underpinning limited downside risk and 44,000 net acres provided ample upside opportunities in an under-evaluated property base. Importantly, the acquisition represented a shift back to a Permian oil focused acquisition and exploitation strategy that was extremely successful for predecessor Plantation entities.

In Q3 2011, Plantation hired RBC Richardson Barr to run a sale process for the company's Permian Basin assets. The company received a high bid of $331 million for the assets and closed the sale in November 2011. At closing, Fund VII received a distribution of $81.9 million thereafter received an additional $5.9 million from holdbacks along with stub property value. In total, Fund VII achieved a 2.5x ROI and 33% IRR on $36 million invested.

Valuation ($000's)

Date of Initial Investment	Capital Invested	Realized Proceeds	Unrealized Value	Total Value	ROI	IRR
Sep-07	$36,000	$88,562	$0	$88,562	2.46x	32.7%

Common Resources, LLC

Fully Realized

Company Description

Common Resources was a Houston based oil and gas company managed by Roger Jarvis, Robert Snell and Elliot Pew focused on creating value opportunistically through the drill-bit. Mr. Jarvis served as President and CEO of Spinnaker Exploration from its inception in 1996 through its eventual sale to Norsk Hydro for $2.6 billion in December 2005. The transaction created a 9.0x ROI for the Company's original private equity sponsor, Warburg Pincus. Prior to Spinnaker, Mr. Jarvis was CEO and President of King Ranch Inc. Mr. Snell worked with Mr. Jarvis as CFO of Spinnaker from 2000 through its sale in 2005. Mr. Pew was previously Executive VP of Exploration at Newfield Exploration and Senior VP of Exploration with American Exploration. Common was focused in the Haynesville Shale and the Eagle Ford Shale.

Transaction Summary

In September 2007, Fund VI committed $158.4 million, and Fund VII committed $93.2 million, alongside $247.5 million from Pine Brook Road Partners and $8.6 million from management, providing the Company with $507.7 million in total equity commitments. EnCap's initial $251.6 million commitment amount was subsequently allocated between Fund VI ($130.1 million), Fund VII ($76.5 million) and a group of silent co-investors ($45.0 million). The investment was structured in the form of common equity, with the investor group receiving 97.3% of distributed cash until an 8% IRR was achieved. Thereafter, management was allocated a graduating percentage of distributions as certain return targets were met. The board of directors was jointly controlled by EnCap and Pine Brook with each having two representatives of a six-member board.

Post Investment Activity

Since inception as a startup in late 2007, Common spent two years studying various plays, building its acreage position in two core areas (Bossierville/Haynesville and Eagle Ford Shales) and assessing the resource potential in these areas. Common owned and operated approximately 29,000 net acres in the southwest portion of the Bossierville (Haynesville) Shale play. The company entered the area through a farm-in agreement with a large industry player and as a result of this agreement, the company's all in cost (including brokerage fees and future drilling commitments) in the acreage was below $2,000 per acre. In its Eagle Ford area, Common built up approximately 37,000 net acres through ground-floor leasing in what is viewed as the heart of the play at a cost well below market value (average all in cost of approximately $450 per acre).

After establishing these two core acreage positions, the company then drilled a total of 14 wells and demonstrated some of the best industry results in both areas. This drilling activity increased Common's net production to approximately 20 MMcfpd and significantly de-risked the company's entire acreage position.

In May 2010, Common closed the sale of its Eagle Ford assets to Talisman Energy (NYSE: TLM) for $359 million in cash and closed the sale of its Haynesville Shale assets to BG/EXCO for $446 million in cash. At closing, Fund VII received proceeds of $84.1 million and approximately $0.8 million of proceeds approximately 120-days post closing. In Q2 2011, Fund VII received an additional $9 million in proceeds due to a 10% escrow holdback on the Haynesville sale and 12.5% holdback on the Eagle Ford sale.

Fund VII received final distributions of ~$530,000 from additional escrow funds in Q4 2011. Total proceeds of $95.4 million equate to a 3.0x ROI and 119% IRR for Fund VII on $31.9 million invested.

Valuation ($000's)

Date of Initial Investment	Capital Invested	Realized Proceeds	Unrealized Value	Total Value	ROI	IRR
Sep-07	$31,946	$95,418	$0	$95,418	2.99x	119.4%

Cheyenne River LLC (formerly Fossil Creek Resources, LLC)

Fully Realized

Company Description

Fossil Creek was a privately held, Dallas based oil and gas company managed by seasoned oil and gas executives Lee Krystinik, Mark Schoomaker and David Hunt. Consistent with management's expertise and historical track record, Fossil Creek pursued an oil-prone portfolio of drilling opportunities in the onshore U.S. Fossil Creek may also pursue targeted acquisitions with behind-pipe or drilling upside. Mr. Krystinik and Mr. Schoomaker are geoscientists with 58 years of combined experience, primarily at Union Pacific Resources where they first worked together. Most recently, Mr. Krystinik served as Global Chief Geologist at ConocoPhillips. Mr. Hunt has 30 years of experience in energy finance, most recently as managing director of Citigroup's energy and utilities group in their national corporate bank.

In January 2014, Fossil Creek contributed its Powder River Basin assets to Cheyenne River LLC, a joint venture owned by Fund IX-backed Cinco Oil & Gas, Yorktown Energy Partners-backed Cinco Resources and Fossil Creek, in exchange for common equity in the entity.

Transaction Summary

In September 2007, Fund VII committed $47.5 million to Fossil Creek. Management committed an additional $1.5 million and co-investors committed $1.0 million providing a total equity commitment of $50.0 million to the company. In December 2012, Fossil Creek's equity commitment was expanded by $20.0 million to $70.0 million total, composed of $19.0 million from Fund VII, $0.6 million from management and $0.4 million from co-investors. In January 2014, Fund VII purchased the membership interests of management and the company's co-investors so that Fossil Creek is now wholly owned by Fund VII.

Post Investment Activity

In January 2014, Fossil Creek contributed its Powder River Basin assets to Cheyenne River LLC, a joint venture owned by Fund IX-backed Cinco Oil & Gas, Yorktown Energy Partners-backed Cinco Resources and Fossil Creek, in exchange for common equity in the entity. Cheyenne River is managed by Cinco Oil & Gas and was formed to invest in and develop assets in the Powder River Basin. At the time of the transaction, Fossil Creek owned ~30% of Cheyenne River. Going forward, Fossil Creek will not participate in capital calls and its ownership will be diluted pro rata. The remainder of Fossil Creek's assets were sold in 2014.

Cheyenne River owns ~64,000 net acres in the Powder River Basin prospective for the Muddy. During 2014, the company began to delineate its Powder River Basin position through the drilling of three wells into the Muddy/Mowry formation and one well into the Niobrara. Cinco signed a PSA to sell its Powder River Basin assets in October 2018 and distributed $1.8 million to Fund VII.

Valuation ($000's)

Date of Initial Investment	Capital Invested	Realized Proceeds	Unrealized Value	Total Value	ROI	IRR
Sep-07	$61,525	$10,375	$0	$10,375	0.17x	(26.6)%

Oasis Petroleum LLC

Fully Realized

Company Description

Oasis Petroleum is a publicly held Houston based independent oil and gas company managed by Thomas B. Nusz and Taylor L. Ried. Both members of management are petroleum engineers and have spent the last 20 years of their careers in a variety of domestic and international operations and management roles for Burlington Resources. Mr. Nusz most recently served as President of Burlington Resources International where his responsibilities included operations in Algeria, Egypt, The Netherlands, the East Irish Sea, Columbia, Ecuador, Peru, Argentina and China. Burlington Resources International had a total reserve base of over 1.2 Tcfe, annual revenues of over $1.0 billion and an annual capital expenditure budget of $150 to $250 million. Oasis management will utilize its experience and expertise to acquire and exploit domestic upstream oil & gas assets.

Transaction Summary

In March 2007, Fund VI committed approximately $98.7 million and other outside investors committed $0.25 million. Management committed an additional $3.0 million providing total equity commitment of $102.0 million to Oasis. During late 2007, EnCap expanded the initial commitment to $200 million, bringing in co-investors and Fund VII, in order to better capitalize the company to be able to take advantage of high quality acquisition opportunities as they become available. In December 2007, the commitment was expanded again by $75 million bringing the total commitment to $275 million comprised of $135.1 million from Fund VI, $71.0 million from Fund VII, $60.6 million from Co-Investors and $8.25 million from management. The investment was structured in the form of common equity with the investor group receiving 95% of distributed cash until an 8% IRR was earned, and thereafter distributions were allocated on a graduated basis as certain ROI targets were met. EnCap at one point held a majority position on the Board of Managers, but has relinquished control now that the company is publicly traded.

Post Investment Activity

In June 2007, Oasis purchased a large Williston Basin asset package for $83.5 million. The properties covered approximately 295,000 gross (175,000 net) acres in Montana and North Dakota, produced 1,000 bopd (net), and provided Oasis with significant Bakken Shale upside. After several additional transactions, Oasis had acquired 292,000 net acres prospective for Bakken Shale and Three Forks, representing substantial resource potential.

On June 17, 2010, Oasis successfully priced its IPO at the midpoint of the valuation range, $14.00 per share, and was listed on the NYSE under the symbol "OAS". Oasis sold 30.37 million shares of primary stock resulting in net proceeds to the company of $396 million. Oasis sold 17.93 million shares of secondary stock resulting in net proceeds of $236 million. These secondary proceeds were distributed to the investors and management and resulted in a 0.98x cash ROI net to the investors. In addition, the original investors and management retained 41.2 million shares of public OAS common stock (~45% of 92.2 million total shares outstanding). Fund VI and Fund VII received their initial cash distributions from Oasis of $112.5 million and $59.1 million on June 30, 2010 and July 1, 2010, respectively. These distributions resulted in an approximate return of the capital invested in Oasis (simple payout) for each fund. In December 2010, OAS Holdco - which was formed to hold and manage the remaining shares of Oasis on behalf of investors and management - was dissolved, and shares of Oasis were distributed out. Fund VII received 7,677,369 of the 41,212,855 shares distributed. Through Q4 2012, EnCap has completely exited all of its Oasis shares.

Valuation ($000's)

Date of Initial Investment	Capital Invested	Realized Proceeds	Unrealized Value	Total Value	ROI	IRR
Oct-07	$61,496	$298,662	$0	$298,662	4.86x	72.6%

ER Energy Group, LP

Fully Realized

Company Description

Escondido II was a privately held Houston based independent oil and gas acquisition and development company focused on acquisition and exploitation of properties located primarily in South Texas. The management team was led by Bill Deupree, Mark Semmelbeck, Kurt Von Plonski and David Wrather. The management team had an excellent track record of acquiring both producing and non-producing properties, maximizing value through additional development, and selling properties for a substantial profit. The team initially partnered with EnCap Fund V in 2004 and subsequently sold substantially all of Escondido I's assets to Swift Energy Company (NYSE: SFY) in October 2007, providing a 2.4x ROI and 51% IRR on Fund V's $53.7 million investment.

Laredo Energy IV was a privately held, Houston-based independent oil and gas acquisition and development company with operations in Webb and Zapata counties in South Texas. The management team, which consisted of the prior management of Laredo Energy I, II, III (successful Fund IV portfolio companies) and Michael Petroleum, had collectively drilled over 1,500 wells in the trend.

In March 2014, Escondido II had a restructuring event along with Laredo IV, whereby both existing companies became wholly-owned subsidiaries of ER Energy Group with the Escondido II management team remaining in place to manage the combined asset base.

Transaction Summary

In December 2007, Fund VII committed $77.6 million to Escondido II. Management committed an additional $4.0 million providing total equity commitment of $81.6 million to the company. In November 2009, Escondido II expanded its total commitment by $80 million ($79.2 million net to Fund VII and $0.8 million from management). The commitment was again expanded in April 2010 by $40 million ($39.6 million net to Fund VII and $0.4 million from management). The board approved a subsequent $25 million expansion in in February 2012, bringing the company's total equity commitment to $225 million ($195.3 million net to Fund VII). The expansions were deemed necessary in order to: (i) develop the company's highly economic Escondido/Olmos acreage, (ii) participate in future Petrohawk operated Eagle Ford activity and (iii) continue to grow and delineate its operated Eagle Ford position in Webb County.

In August 2006, Fund V committed $40.8 million to Laredo Energy IV while the management group committed $1.8 million and two acquaintances of the management group committed $7.5 million. During Q4 2007, Fund V expanded its commitment to Laredo IV by $16.2 million to $57.0 million. In April 2008, the Board approved a capital expansion and the admittance of Fund VII and Avista Capital as limited partners. During Q4 2010, the Board approved an additional $100 million expansion to support the continued delineation and preservation of the South Texas unconventional asset base. Fund VII committed $35.6 million, Avista committed $61.9 million, and the remainder was filled by other investors within the existing investor group. Total commitments to the company are now $350 million (Fund V $57.1 million, Fund VII $134.3 million, Avista $134.3 million, other investors $22 million and Management $2.5 million).

In March 2014, Escondido II had a restructuring event along with Laredo IV, whereby both existing companies became wholly-owned subsidiaries of ER Energy Group. The group is managed by Bill Deupree and the Escondido II team and has a total existing equity commitment of $40.0 million, which represents an expansion of the unfunded amount left for Escondido II. This transaction was approved by the Fund VII and Fund V Advisory Boards on January 13, 2014.

Post Investment Activity

Since formation, Escondido II has acquired a significant acreage and proved reserve position in its historic focus area of South Texas with the majority of the asset base being prospective for shallow Escondido and Olmos sands as well as the Eagle Ford Shale. Since formation, Laredo IV acquired significant acreage in Zapata and Webb Counties, Texas and drilled and completed 24 Eagle Ford wells scattered throughout its position.

During Q3 2014, ER Energy closed on a $290MM working interest only drilling partnership with a well-known 3rd party capital provider. This drilling partnership enables the company to minimize its future CAPEX burden while still facilitating development growth and retaining the majority of the upside associated with offset locations.

In early 2015, the company initiated discussions with a Wells Fargo led bank group on a potential restructuring plan to strengthen the balance sheet but was unable to make progress. Subsequently, in July 2015, the company launched an unsuccessful fund raising process with a leading advisor. After exhausting all fund raising efforts, in early 2016, the company negotiated a forbearance agreement relative to the first lien and second lien facilities, that extended through 11/30/16. Escondido signed a membership interest purchase agreement in Q4 2016 and successfully closed on a corporate sale in early February 2017.

While EnCap did not receive any proceeds from the sale, we did effectively avoid bankruptcy and also importantly, we have no potential future company related liabilities.

Valuation ($000's)

Date of Initial Investment	Capital Invested	Realized Proceeds	Unrealized Value	Total Value	ROI	IRR
Dec-07	$317,327	$6,797	$0	$6,797	0.02x	(62.8)%

Piedra Energy I, LLC

Fully Realized

Company Description

Piedra was a privately held, Midland based oil and gas company managed by Chip Smith, Robert Beecherl and Mike Oestmann and focused in the Permian Basin. Consistent with management's expertise and historical track record, Piedra pursued the exploration and development of lower risk resource plays with scalability and upside. Mr. Smith spent 18 years focused on property acquisitions and exploration and was formerly the founder/co-founder of Charter Royalty Company, Parsley & Smith and Vecta Technology. Mr. Beecherl spent 19 years focused on acquisitions and divestments at Vecta Technology, Sugarberry Oil & Gas and Verdad Oil and Gas. Mr. Oestmann has over 25 years focused on exploration, asset management and development. After serving 15 years with Exxon, Mr. Oestmann worked with Titan/Pure Resources and Celero/Whiting in various senior level exploration and development positions. Piedra was focused on the development of lower-risk resource plays with scalability and upside.

Transaction Summary

In November 2007, Fund VII committed $75 million to Piedra. Management committed an additional $1.5 million providing total equity commitments of $76.5 million to the company. The investment was structured in the form of common equity with Fund VII receiving 98% of distributed cash until an 8% IRR and 1.0x ROI, and thereafter distributions were allocated on a graduated basis as certain ROI targets were met. Fund VII held a majority position on the Board of Managers.

Post Investment Activity

Consistent with its strategy, Piedra captured several attractive, unexploited resource play projects in the Permian Basin. In total, the company aggregated more than 13,000 net acres in the Wolfcamp/Spraberry play, with all of the projects offering development drilling opportunities with substantial running room.

In May 2011, Piedra and its working interest partners sold the Longhorn project in Glasscock County, Texas to Berry Petroleum (NYSE: BRY) for $123 million, or ~$105 million net to Piedra's working interest. The purchase price yielded highly attractive sale metrics: ~$175,000 per boepd and $14,000 per undeveloped acre. At closing, Fund VII received a distribution of $79.9 million and, thereafter, received additional holdback distributions from the sale as well as proceeds from the sale of remaining assets to Fund VII.

Valuation ($000's)

Date of Initial Investment	Capital Invested	Realized Proceeds	Unrealized Value	Total Value	ROI	IRR
Nov-07	$45,100	$109,740	$0	$109,740	2.43x	46.6%

Limestone Exploration, LLC

Fully Realized

Company Description

Limestone was a privately held, Midland, Texas based oil and gas company focused on acquiring and developing acreage in the Spraberry and Wolfcamp Trend located in the Permian Basin. Limestone was managed by a multi-disciplinary team consisting of Kevin Herrmann (finance, accounting and business development), Randy Foster (engineering and operations), Terrell Downing (geology) and Greg Mauzy (land and business development). The management team had worked together in the past and had extensive experience in the Permian Basin and strong connections in the Midland area.

Transaction Summary

In April 2008, Fund VII committed $48.5 million to Limestone. Management committed an additional $1.5 million providing a total equity commitment of $50.0 million to the company. The investment was structured in the form of common equity with Fund VII receiving 97% of distributed cash until an 8% IRR, and thereafter distributions were allocated on a graduated basis as certain ROI targets are met. Fund VII held a majority position on the Board of Managers.

Post Investment Activity

Limestone acquired the right to lease 7,500 contiguous acres in Martin County, Texas at a very attractive price through a relationship between Greg Mauzy and the land owner. The acreage had 180 potential Wolfberry locations using 40 acre spacing and was prospective for Spraberry, upper Wolfcamp and lower Wolfcamp production. Limestone focused primarily on the acquisition and development of this acreage, drilling a total of 21 wells with a 100% success rate to create significant reserve-based value and increase production to ~1,000 Boepd.

In September 2010, Limestone completed the sale of its Permian Basin assets to Energen Corporation for a total adjusted purchase price of $188.6 million resulting in $133 million of distributions net to Fund VII. The cash distributions generated from the sale resulted in a 3.7x ROI and 101% IRR.

Valuation ($000's)

Date of Initial Investment	Capital Invested	Realized Proceeds	Unrealized Value	Total Value	ROI	IRR
Apr-08	$36,078	$132,750	$0	$132,750	3.68x	101.3%

OGX HOLDING II, LLC

Substantially Realized

Company Description

OGX II is a privately held Midland based independent oil and gas company focused on acquiring and exploiting oil and gas properties in the Permian Basin. OGX was founded by Richard Coats and Frank Agar in October 2002. Both individuals each have over 25 years of experience as independent owners and operators of oil and gas properties in the Permian Basin. The team initially partnered with EnCap Fund V in 2006 and subsequently sold the majority of its assets to Legend Natural Gas III in March 2008 for approximately $173.5 million in cash, providing a 2.8x ROI and 92% IRR on Fund V's $32.2 million investment. Similar to OGX I, management's initial strategy was to pursue an acreage acquisition and drilling strategy in the Delaware Basin of Southeast New Mexico, primarily in Eddy and Lea counties. OGX II also intended to target multiple Pennsylvanian age reservoirs, including the Morrow, Atoka, Strawn and Cisco Canyon trends at depths of 10,000 to 13,000 feet. In addition, OGX II has diversified its strategy by targeting the shallower Permian-age sands in the Midland Basin.

Transaction Summary

Fund VII formed a limited liability company with OGX II in May 2008, committing $91.8 million. The management team committed $10 million providing total capital committed of $101.8 million. In July 2011, EnCap increased OGX II's total commitment pro rata to $130 million. The investment takes the form of common equity with Fund VII receiving 90% of the available cash flow until an 8% IRR and a 1.1x ROI is earned, and thereafter distributions are allocated on a graduated basis until higher IRR and ROI targets are met. Fund VII holds a majority position on the Board of Managers.

Post Investment Activity

OGX II successfully accumulated approximately 33,600 net acres in Eddy & Lea counties, NM and Culberson, Reeves, and Loving Counties, TX targeting the Avalon Shale and other oil horizons (Delaware Sands, Bone Spring, Wolfcamp). The company utilized a one-rig development program to drill a total of 19 wells while working to improve its completion practices in order to optimize well results. The company's last 3 operated wells were completed with 18-20 stage "mega fracs," which resulted in higher IP rates and significantly increased EURs. In Q3 2011, OGX II ran a sales process with Tudor, Pickering & Holt ("TPH") and successfully sold its assets to Concho in Q4 2011 for $250.0 million of cash consideration. At closing, OGX II received $181.7 million in cash and an additional payment of $30.9 million in November 2012 related to escrow holdbacks. OGX II retained $25.0 million in the company for future operations and distributed the remaining sale proceeds to the company members ($138.5 million net to Fund VII). OGX II also retained a 0.3% - 7.5% ORRI in over 17,000 acres that were sold, representing additional future value for OGX II and Fund VII.

Following the Concho sale, OGX II used the retained $25.0 million of Concho sale proceeds to develop its Winkler County position, where it had leased ~12,000 net acres. OGX II ultimately assembled ~30,000 gross (~17,000 net) acres in Winkler County, prospective for the Penn Detrital play, and drilled 14 wells throughout the position with variable well results. However, Apache had assembled an acreage position offsetting OGX II and was experiencing encouraging results. The company engaged TPH and approached Apache as a preemptive buyer. OGX II and its working interest owners ultimately sold their acreage package in Q3 2014 for $124.8 million of cash consideration. At closing, OGX II received $76.0 million, distributed $61.0 million ($41.4 million net to Fund VII), and retained $15.0 million for its Reeves County project.

Concurrently with the development of its Winkler County position, OGX II acquired ~4,000 net acres in Reagan and Upton Counties in Q3 2012, where it saw heightened industry activity for the Wolfcamp and Spraberry resource plays. Continuing through Q3 2013, OGX II continued to bolt-on surrounding acreage, eventually amassing 5,040 net acres at a cost basis of ~$800/acre. Subsequently, the area experienced a significant amount of industry activity from Parsley Energy, Cimarex, Pioneer, Callon, EOG, Enduring, El Paso, and Apache. In April 2014, OGX II was approached by Parsley, which led to an agreement that granted Parsley the option to purchase the acreage for $27,500/acre within 10 days of pricing its imminent IPO. Following its IPO in June 2014, Parsley purchased OGX II's acreage for total consideration of $127.6 million for 4,640 net acres (400 acres were defected in title due diligence). After repaying debt and holding back $11.0 million for additional acreage purchases in Reeves County, OGX II distributed $105.4 million ($75.0 million net to Fund VII). Following the sale, Management was able to cure 360 defected acres, which were sold to Parsley for $9.9 million in October 2014.

In addition to its acreage positions in Reagan, Upton, and Winkler Counties, OGX II acquired 2,880 net acres in early June 2013 for ~$4.0 million in Reeves and Loving Counties, TX in the core of the Wolfcamp, Avalon Shale, and Bone Spring plays where OGX II had previously operated and sold assets twice. Following the sale of its Midland Basin acreage to Parsley, Management used some of its retained cash to make a bolt-on acquisition with existing PDP in the area for $7.8 million, which increased OGX II's position in the area to ~4,000 net acres.

In April 2015, OGX II received $6.8 million for its first of two holdback payments for the sale of its Winkler County acreage to Apache in 2014. OGX II distributed the holdback, and Fund VII received $4.1 million.

OGX II completed its first Wolfcamp A well on its Reeves County acreage in Q1 2015 with very promising results. As a result of significant buyer interest and favorable market conditions, TPH initiated a sales process. In September 2015, OGX closed on the sale of ~2,800 acres in Reeves and Loving Counties to Anadarko and distributed $48.6 million to Fund VII. In January 2016, OGX II received $6.4 million for its second and final holdback payment from the Winkler County sale to Apache and distributed $3.8 million to Fund VII.

In Q1 2017, OGX II and its working interest partners completed the sale of 1,665 net acres on the stateline between Reeves County, TX and Eddy County, NM to Concho Resouces for $22.0 million in gross proceeds, or $15.8 million net to OGX II. This valuation represents a compelling offer given the scattered nature of the position, as well as drilling obligations in the near term.

In Q2 2021, OGX II ran a fully marketed sales process to divest its retained ORRIs (3,600 net royalty acres in Lea and Eddy Counties, NM). Ultimately, OGX II entered into an agreement to sell this package for $74 million to a private buyer and closed the transaction in Q3 2021. A holdback representing 10% of the purchase price is scheduled to be released in two equal tranches six and twelve months following close.

Recent Events

In Q3 2021, OGX II closed its $74 million cash sale of its remaining ORRIs in Lea and Eddy Counties. Ten percent of the purchase price is held in escrow and is scheduled to be released in two equal tranches six and twelve months following close.

Valuation ($000's)

See valuation assumptions for valuation basis.

Date of Initial Investment	Capital Invested	Realized Proceeds	Unrealized Value	Total Value	ROI	IRR
May-08	$101,020	$434,309	$3,721	$438,030	4.34x	37.4%

RiverStone Energy, L.P.

Fully Realized

Company Description

RiverStone is a privately held Houston based independent oil and gas company managed by Tom Campbell, a founder of Chalker Energy. As a partner in Chalker Energy, Mr. Campbell was instrumental in the growth of this company from start-up to its eventual sale to Forest Oil for $255 million within two years. Prior to Chalker, Mr. Campbell was VP of Acquisitions and Divestitures for AROC. RiverStone's objective is to build a reserve base in the ArkLaTex area through an opportunistic approach to acquisitions, similar to the approach at Chalker. Mr. Campbell has assembled a technical team with extensive experience within the company's focus area and will capitalize on the team's knowledge and contacts to identify small acquisitions between $1 and $5 million and aggregate these assets into a company with meaningful size that is attractive to a potential buyer within a three to five-year time frame.

Transaction Summary

Fund V originally formed a limited partnership with RiverStone in June 2006, committing $20 million. The management team committed $0.85 million, resulting in total capital of $20.85 million. During Q3 2007, EnCap Fund V expanded its commitment to RiverStone by $20.0 million to $40.0 million. In April 2008, Fund VII committed an additional $20 million. Combined with an increased commitment from management to $1.15 million, RiverStone has a total commitment of $61.15 million. Upon Fund VII making its commitment, Fund VII reimbursed Fund V one-third of the equity funded to date ("pro-rata" commitment amount). Fair value of RiverStone at the time of the Fund VII expansion approximated cost. The investment takes the form of common equity with Fund V and Fund VII receiving 94% of the available cash flow until a 10% IRR and thereafter distributions are allocated on a graduated basis until higher ROI targets are met. EnCap holds a majority position on the Board of Managers.

Post Investment Activity

During Q2 2008, RiverStone entered into three separate agreements to sell approximately 13,500 net acres of deep rights below the base of the Cotton Valley formation to Chesapeake and Petrohawk for a total of approximately $125 million. After receiving initial proceeds of $30 million in July 2008, RiverStone paid down $17 million of bank debt and distributed $12 million to Fund V, VII and management. In August 2008, RiverStone received $95 million of additional proceeds as a result of these sales. Upon receipt of the funds, RiverStone distributed an additional $95 million to Fund V, VII and management.

During 2011, RiverStone completed a sale of the majority of its remaining assets and transferred a small amount of undeveloped acreage to Oak Valley Energy, LLC.

Valuation ($000's)

Date of Initial Investment	Capital Invested	Realized Proceeds	Unrealized Value	Total Value	ROI	IRR
May-08	$17,362	$31,219	$0	$31,219	1.80x	4,606.9%

Bold Energy II LLC

Fully Realized

Company Description

Bold II is a privately held Midland, Texas based independent oil and gas acquisition and development company focused on acquiring and exploiting reserves in the Permian Basin of West Texas. Bold is managed by eight seasoned oil and gas professionals including, Joe Castillo, John Worrall, Peggy Worthington, Richard Montgomery, Bryan Dixon, Shannon Klier, Donny Money and Bob Langford. The team initially partnered with EnCap Fund V in Bold Energy I in 2005 and subsequently sold the company to Occidental Petroleum in May 2008 for approximately $94 million in cash, providing a 2.4x ROI and 42% IRR on Fund V's $22.8 million investment. Bold II will pursue a strategy that will initially focus on a developing play in the Canyon and Wolfcamp Sand reservoirs found on the Eastern Shelf of the Permian Basin.

Transaction Summary

Fund VII formed a limited liability company with Bold II in May 2008, committing $44.5 million. The management team committed $5.5 million providing total capital of $50 million. In 4Q 2010, Fund VII expanded its commitment to Bold II by $25 million to $69.5 million, while management's commitment remained at $5.5 million. The investment takes the form of common equity with Fund VII receiving 92.7% of the available cash flow until an 8% IRR and a 1.25x ROI is earned (based on a fully funded scenario), and thereafter distributions are allocated on a graduated basis until higher IRR and ROI targets are met. Fund VII holds a majority position on the Board of Managers.

Post Investment Activity

During May 2008, the company leased approximately 11,000 acres for an Irion County, Texas Canyon Sand prospect. Bold II subsequently sold its acreage position in NW Irion County to EOG Resources for $2.96 million (at Bold's cost) and retained a 20% non-operating working interest. EOG plans to test the drilling of horizontal Canyon wells in the area. Management also sold the Leiman 10-1 well (15 bopd gross, 8.7 bopd net to Bold) to DK Boyd for $755,000. Current monthly cash flow on the well, net to Bold, was approximately $12,000 per month, which represented a metric of $86,500 per producing net bopd and 63 months of current cash flow.

By Q3 2010, Bold had established four project areas consisting of a mix of conventional and unconventional targets. The unconventional focus areas consisted of a ~7,200 net acre position in Irion County targeting horizontal drilling in the Canyon Sands (Bold is a 20% WI partner with EOG on 2,500 net acres of this position and is a 100% WI owner and operator on the remaining acreage) and a ~9,600 net acre position in Loving and Reeves Counties targeting the Avalon Shale. The conventional areas consisted of a 4,100 net acre position in Gaines County, targeting the Wichita-Albany / Clearfork sands and a 4,000 net acre position in Winkler County (Arenoso Field) where Bold II is targeting the Strawn formation.

In Irion County, Bold has drilled a total of four Canyon Sands wells, three as a 20% working interest partner with EOG and one 100% well on its southern acreage block (Flint Hills). Due to drilling difficulties and less than anticipated production rates, two of the first three wells drilled did not payout, which caused both Bold and EOG to halt future Canyon Sands drilling temporarily until new results revealed prospectivity for the Wolfcamp shale in the area of mutual interest. EOG recompleted the second Canyon Sands well in order to test the Wolfcamp, and the results were positive, which has compelled Bold II to agree to continue its participation in future development plans.

During Q3 2011, Bold II closed on the sale of a portion of its Permian Basin asset base, including Avalon Shale acreage (Reeves and Loving Counties) and the Arenoso prospect (Winkler County), for $43.8 million in cash. The company distributed $25.0 million of the proceeds ($22.4 million net to Fund VII) and retained $18.8 million on the balance sheet to help fund the development of its remaining asset base.

In Q4 2011, Bold II retained Lantana Oil & Gas Partners ("Lantana") to market 4,500 net acres located in the Tex Mex field of Gaines County, Texas. The sales process was met with interest from several potential buyers at prices that were approaching desired levels, but given the low risk nature of the asset and the potential to create meaningful value near-term through the drill bit, the Board elected to postpone the sale and retain the asset for future development. Management drilled eight additional wells in the first half of 2012 targeting low risk locations on its acreage. Results were good, and the drilling program helped to de-risk the acreage, validate the type curve and boost production and reserve values. At the same time, Sandridge drilled three additional wells, including the Ferguson #1 and the McCasland #1, two of the most prolific wells at Tex Mex to date.

Given the success of the drilling program at Tex Mex, Management decided to re-engage Lantana in Q4 2012 and take the asset back to market. Near the end of the quarter, Bold II sold Tex Mex to Lime Rock Resources for $44.3 million. After deducting fees, closing adjustments and holding back capital for future drilling obligations, Bold II distributed $33.5 million ($30.0 million net to Fund VII) for the Tex Mex sale.

Bold II's remaining asset base consists of a non operated position in 10,000 gross acres (2,000 net acres) in Irion County with gross production of ~350 bopd. These assets were sold in Q4 2018 and Fund VII received $0.9 million in proceeds.

Valuation ($000's)

Date of Initial Investment	Capital Invested	Realized Proceeds	Unrealized Value	Total Value	ROI	IRR
May-08	$47,500	$54,260	$0	$54,260	1.14x	5.8%

PetroEdge Energy II, LLC

Fully Realized

Company Description

PetroEdge II is a privately held, Houston based independent oil and gas company focused on the acquisition and exploration of unconventional reserves in the Mississippian and Devonian formations in the Appalachian Basin. The team initially partnered with EnCap Fund V in PetroEdge I in late 2004 and subsequently sold the company to Quest Resource Corporation in August 2008 for approximately $140 million in cash, providing Fund V with a 1.6x ROI and 38% IRR on $39.4 million of invested capital. The management team will remain completely intact from PetroEdge I and will continue to be led by Larry Richard, the former Global Business Manager of Halliburton's internal investment group (Integrated Solutions). In this role, Mr. Richard was responsible for managing over $500 million of startup development projects and applying the company's technology, expertise and capital alongside industry partners. PetroEdge II will be structured with a substantially improved governance situation to allow for complete alignment of interests. Management plans to leverage their expertise and relationships built in Appalachia over the years to secure opportunities in attractive areas.

Transaction Summary

Fund VII formed a limited liability company with PetroEdge II in August 2008, committing $98 million. The management team committed an additional $2 million for a total equity commitment of $100 million. The investment takes the form of common equity with Fund VII receiving 98% of the available cash flow until an 8% IRR and a 1.25x ROI is earned, and thereafter distributions are allocated on a graduated basis until higher IRR and ROI targets are met. Fund VII holds a majority position on the Board of Managers.

Post Investment Activity

PetroEdge II secured an initial foothold acreage position of 23,000 net acres in the Marcellus Shale resource play of Appalachia through a series of leasehold acquisitions, farmouts and joint ventures with other operators in the area. The company completed its first operated horizontal Marcellus Shale well in Harrison County, West Virginia with a gross 24-hour initial production rate of 6.9 MMcfpd.

Both operated horizontal wells in the Marcellus continue to produce at attractive rates since being brought online in February and November of 2011. The company also participated in the drilling and completion of five non-operated horizontal wells, all of which are anticipated to meet or exceed expectations.

After realizing that dry gas properties were likely to remain challenged for the foreseeable future, PetroEdge decided to establish an acreage position in the rich-gas portion of the Marcellus to help provide some diversification in the company's asset base. This effort resulted in the acquisition of approximately 9,000 net acres in Tyler County, West Virginia prospective for the liquids-rich Marcellus Shale.

With the majority of PetroEdge's 32,000 net acres and 200+ drilling locations located in the dry gas portion of the Marcellus Shale resource play, the board elected to join forces with two other EnCap companies with dry gas and liquids-rich Marcellus assets in the immediate area in an effort to overcome low natural gas prices by attracting a premium valuation for increased size and scale. As a result of this joint-effort, the three companies were acquired in December 2012 by Statoil USA Onshore Properties Inc. for a combined $590.0 million of cash consideration.

Valuation ($000's)

Date of Initial Investment	Capital Invested	Realized Proceeds	Unrealized Value	Total Value	ROI	IRR
Jul-08	$87,493	$119,292	$0	$119,292	1.36x	16.1%

Royal Offshore, LLC

Fully Realized

Company Description

Royal is a privately held Corpus Christi, Texas based oil and gas company focused on developing offshore Gulf of Mexico assets. Royal is managed by Scott Smith, President of Royal Exploration Company and Bill Gregorcyk, President of Royal Production Company. Mr. Smith and Mr. Gregorcyk each have over 30 years of experience in the oil and gas business, impeccable reputations and an impressive track record of value creation. Management has captured numerous prospects in the Gulf of Mexico on 59 different lease blocks representing 155,787 net acres and formed Royal to exploit these opportunities. Royal's strategy involves drilling 10 shallow-water prospects (less than 250' of water) and one mid-water prospect (approximately 650' of water) during the first year. Upon success with these initial prospects, Royal plans to focus more on its mid-water and deep-water prospects with higher return potential.

Transaction Summary

In July 2008, Fund VII and Avista both committed $122.5 million to Royal. Management committed $105 million consisting of $25 million in contributed properties and $80 million in cash, providing a total equity commitment of $350 million to the company. The investment is structured in the form of common equity with Fund VII receiving 35% of distributed cash until a 10% IRR and 1.3x ROI, and thereafter distributions will be allocated on a graduated basis as certain IRR and ROI targets are met. Fund VII and Avista hold a majority position on the Board of Managers.

Post Investment Activity

Royal's capital program was delayed due to the oil spill in the gulf in 2010 and the subsequent drilling moratorium. The increased level of scrutiny from the Minerals Management Service ("MMS") initially made it more difficult for Royal to obtain shallow water drilling permits. In February 2011, Royal made a distribution of $12 million ($4.24 million net to Fund VII). In Q4 2013, Royal sold its 10% working interest in the Ewing Bank 834 prospect to Walter for $37 million. Concurrent with this sale, the company made a $41 million distribution to its investors ($14 million net to Fund VII), which included $4 million of excess cash from the company's balance sheet.

In Q3 2014, Royal sold its remaining assets, which included five properties producing ~2 MMcfpd and several minor prospects, to an affiliate of EnVen for $6.5 million. Following the close of the sale, the company made a $7 million distribution to its investors, which represented substantially all of the company's remaining value after taking into account certain P&A obligations and cash on the company's balance sheet.

Valuation ($000's)

Date of Initial Investment	Capital Invested	Realized Proceeds	Unrealized Value	Total Value	ROI	IRR
Jul-08	$51,450	$22,573	$0	$22,573	0.44x	(18.0)%

Protégé Energy II LLC

Fully Realized

Company Description

Protégé II is a Tulsa based independent oil and gas acquisition and development company focused on the acquisition and exploitation of upstream oil and gas assets principally in the Mid-Continent region in Oklahoma and the Texas Panhandle. The team initially partnered with EnCap Fund IV in Protégé I in 2004 and subsequently sold the assets of the company to Forest Oil Corporation and EV Energy Partners, L.P. in August 2008 for combined proceeds of approximately $93.9 million in cash, providing Fund IV with a 2.2x ROI and 35% IRR on $30 million invested. Protégé II is managed by Marty Thalken, a seasoned industry executive who, prior to partnering with EnCap, was the Acquisitions and Planning Team Leader of the Mid-Continent Region for Newfield Exploration Company and previously served for over five years as Vice President of Acquisitions for Vintage Petroleum Inc. Mr. Thalken is joined by his team from Protégé I, which includes several people he worked with successfully at Newfield and Vintage.

Transaction Summary

In August 2008, Fund VII committed $97 million to Protégé II and management committed $3 million, providing a total equity commitment of $100 million to the company. The investment takes the form of common equity with Fund VII receiving 97% of the available cash flow until an 8% IRR and 1.25x ROI is earned. Thereafter, distributions from Protégé II are based on a graduated basis until higher IRR and ROI targets are met. Fund VII holds a majority position on the Board of Managers.

Post Investment Activity

After completing a detailed study of the Marcellus Shale in 2H 2008 and 2009, Protégé II secured an initial foothold in the play through the acquisition of approximately 10,000 net acres in Monroe County, Ohio. Aside from the favorable technical characteristics of the position, the blocked-up nature of the acreage and proximity to existing infrastructure added to the attractiveness of this position.

Protégé II completed the initial phase of its development plan in Q2 2012 by drilling and completing its first horizontal Marcellus shale test well and first vertical Utica shale test. Initial test results from both wells were very positive and provided both the company and the board with an increased appetite for additional acreage in the play. As a result of this post-proof of concept leasing effort, Protégé increased its acreage position substantially from the 10,000 net acres associated with the company's initial farm-in transaction. Protégé ultimately secured a total acreage footprint of 17,300 net acres in Monroe County, Ohio containing roughly 200 drilling locations. While the company continued to look for opportunities to fill-in its acreage position, leasing costs in the area continued to escalate as industry activity by Protégé and nearby operators such as Gastar, Magnum Hunter, Stone Energy and HG Energy continued to generate positive data points in both the liquids-rich portion of the Marcellus and the dry gas Utica Shale.

As a result of Protégé's positive initial drilling results, attractive acreage position and the increased industry focus on liquids-rich Marcellus, the board elected to test the exit market by pursuing a targeted sales process. While this Protégé-specific marketing effort attracted several interested parties, the company ultimately elected to join forces with two other EnCap companies with assets in the immediate area in an effort to attract a premium valuation for increased size and scale. As a result of this joint-effort, the three companies were acquired in December 2012 by Statoil USA Onshore Properties Inc. for a combined $590.0 million of cash consideration.

Valuation ($000's)

Date of Initial Investment	Capital Invested	Realized Proceeds	Unrealized Value	Total Value	ROI	IRR
Aug-08	$87,095	$203,035	$0	$203,035	2.33x	44.2%

Cardinal Midstream, LLC

Fully Realized

Company Description

Cardinal is a Dallas based midstream company launched to focus on projects and the acquisition of more established midstream assets in the onshore U.S. The company is led by a management team comprised of Jim Bryant, Doug Dormer, Mack Lawrence and Marc Lyons, representing ~120 years of collective experience in the midstream industry with successful companies such as Energy Transfer, Endevco/Cornerstone Natural Gas, Tejas Gas Corporation and Ensearch Exploration. Since first partnering together in 2001, management successfully founded, managed and monetized three midstream businesses. Most notably, the team generated a 4.0x ROI on invested equity through their growth of Regency Gas Services, LLC into a $405 million company as realized by its sale to HM Capital in late 2004.

Transaction Summary

In September 2008, Fund VII committed $72.75 million to Cardinal with the intention that Fund VII would retain one-third of this commitment and transfer two-thirds of this commitment to EFM I. Upon the initial funding of EFM I in January 2009, Fund VII transferred $48.5 million of this commitment to EFM I. In October 2010, Cardinal's commitment was expanded by Fund VII to $156.9 million and by EFM I to $119.6 million. Combined with management's commitment of $3.5 million, the company had a total equity commitment of $280 million. The investment is structured in the form of common equity with Fund VII and EFM I receiving 98.75% of distributed cash until an 8% IRR and 1.25x ROI is earned, and thereafter distributions will be allocated on a graduated basis as certain IRR and ROI targets are met. EFM I and Fund VII hold a majority position on the Board of Managers.

Post Investment Activity

During Q3 2009, Cardinal launched a gas treating business. During Q4 2010, Cardinal acquired Antero Resources Midstream Corporation ("ARMC") and all of its assets for $268 million. ARMC's assets are located in the Eastern Oklahoma Arkoma Woodford shale play and consist of 58 miles of gathering pipelines, a 250 GPM amine plant for CO_2 removal and associated compression. Additionally, ARMC owned a 60% interest in two cryogenic gas processing facilities with a total capacity of 100 MMcfpd with its JV partner MarkWest, who also made a processing dedication to these plants.

In December 2011, Cardinal commissioned the Tupelo plant, a 120 MMcfpd cryogenic processing plant that is 100% owned by Cardinal. In 2012, Cardinal and MarkWest agreed to expand Centrahoma's processing capacity with a 200 MMcfpd cryogenic processing plant initially equipped to process 120 MMcfpd (the "Stonewall Plant").

On December 20, 2012, Cardinal Midstream completed its sale to Atlas Pipeline Partners, LP (NYSE: APL) for $600 million. The transaction consideration was comprised of 100% cash, but $25 million was subject to a six-month escrow period. Cardinal concluded its transition services with Atlas in June, 2013. Cardinal recovered the full escrowed proceeds of $25 million and an additional $6.1 million related to working capital adjustments. Fund VII generated a 1.9x and 34% IRR on its invested capital of $150 million.

Valuation ($000's)

Date of Initial Investment	Capital Invested	Realized Proceeds	Unrealized Value	Total Value	ROI	IRR
Sep-08	$149,866	$280,145	$0	$280,145	1.87x	34.6%

HVL Energy, LLC

Fully Realized

Company Description

HVL Energy is a newly formed company based in Midland, Texas managed by Mark Burkett, Jeff Dalton, Camron Stotts, Jae Lewis and Kyle Murdock. Management formed and operated Zephyr Oil and Gas which was focused on the application of High Volume Lift (HVL) technology to increase production rates and ultimate recoveries of Devonian age reserves in the Permian Basin. Management has successfully executed this strategy on approximately 20 wells and, with HVL Energy plans to implement an expanded acquisition and HVL program. HVL technology involves the installation of either progressing cavity displacement pumps, electric submersible pumps or hydraulic pumps that are capable of moving much more fluid than a conventional rod pump lift. This technique increases the rate of water flowing through the formation and depending on the specific geological characteristics of the formation, washes additional oil from the formation. HVL Energy's strategy is to acquire and convert identified proven HVL ready properties to HVL with the goal of significantly increasing reserves and production and ultimately exiting within four years.

Transaction Summary

In November 2008, Fund VII committed $61.2 million to HVL Energy. Management committed $6.8 million, providing a total equity commitment of $68.0 million to the company. The investment is structured in the form of common equity with Fund VII receiving 89% of distributed cash until an 8% IRR and 1.0x ROI (based on a fully funded scenario), and thereafter distributions will be allocated on a graduated basis as certain IRR and ROI targets are met. Fund VII holds a majority position on the Board of Managers.

Post Investment Activity

Management contributed properties at closing located in various counties in West Texas (Permian Basin) consisting of 19 leases and 35 wells that were producing 118 Boepd (40 net).

During Q3 2013, HVL closed on the sale of ~70% of its assets to Desert Petroleum for $6.3 million. During Q4 2013, HVL closed on the sale of most of the remaining assets to Athlon Energy for $2.1 million. Management has purchased the few remaining properties and has also assumed all associated liabilities.

Valuation ($000's)

Date of Initial Investment	Capital Invested	Realized Proceeds	Unrealized Value	Total Value	ROI	IRR
Nov-08	$31,161	$8,159	$0	$8,159	0.26x	(31.2)%

Unconventional Gas Resources, LLC

Fully Realized

Company Description

Unconventional is a privately held oil and gas company with offices in Calgary, Alberta and College Station, Texas. The company pursues unconventional gas projects and reserve acquisition opportunities with infill drilling potential in the U.S. and Canada. Unconventional is managed by Michael Gatens and George Voneiff, who previously built MGV Energy from 1999 to 2005. MGV was a subsidiary of Quicksilver Resources, Inc. (NYSE: KWK) that focused on unconventional gas projects and infill drilling opportunities in Canada. During the six-year period from 1999 to 2005, MGV created 50 MMcfepd and 305 Bcfe of proved reserves through the drill bit, building a $1 billion enterprise. Gatens and Voneiff are joined by six other executives, all of whom they have worked with in the past. The team members have an average of 30 years of E&P experience with companies like Shell, EnCana, Schlumberger, Tenneco, Quicksilver and CDX, among others. The company manages its U.S. and Canadian operations separately through entities domiciled in each country.

Transaction Summary

In February 2007, Fund VI formed a limited liability company in the U.S. and a limited partnership in Canada, committing an aggregate $48.5 million. ARC Financial Corporation, a private equity firm based in Calgary, committed an additional $47.5 million alongside Fund VI. Management committed $5 million, resulting in a total capitalization of $101 million. Unconventional's equity commitment was subsequently expanded in September 2008 and December 2011 to allow for sufficient development of the acquired reserves and continued pursuit of other projects. The commitment was increased by $180 million through a $69 million commitment from EnCap Fund VII, $20 million commitment from EnCap Fund VI, $88 million from ARC Financial and $3 million from Management.

In April of 2014, Unconventional's equity commitment was again expanded to fund a more aggressive drilling program. This expansion was a $29.5 million increase in EnCap's equity commitment, bringing EnCap's total commitment to $165.3 million. ARC Financial Corporation increased its commitment by the same amount. The total investor group commitment is now $330.5 million. Due to Fund VI's capital constraints, Fund VII assumed Fund VI's remaining $7.4 million commitment as well as the $29.5 million increase, for a total Fund VII increase of $36.9 million. The investment takes the form of common equity, with Fund VII, Fund VI and ARC receiving 97.2% of the available cash flow until an 8% IRR and 1.25x ROI are earned. EnCap and ARC jointly control the Board of Managers with any action requiring the approval of both firms.

Post Investment Activity

On May 16, 2017, UGR was acquired by Painted Pony Energy Ltd. (TO:PONY) in an all-stock transaction. PONY issued 41 million common shares to acquire UGR, representing ~25% of PONY's issued and outstanding common shares. Additionally, PONY assumed the bank debt and other liabilities of UGR. At closing, EnCap received 19.9 million net shares (8.2 million Fund VI and 11.7 million Fund VII). During Q3 2020, PONY was acquired by Canadian Natural Resources (TO:CNQ) in an all cash transaction equating to CAD $0.69/share and the assumption of PONY's net debt. The transaction closed on October 6, 2020, and EnCap Fund VI & VII tendered all of its 19.9 million shares receiving $6.1MM net to Fund VII.

Valuation ($000's)

Date of Initial Investment	Capital Invested	Realized Proceeds	Unrealized Value	Total Value	ROI	IRR
Nov-08	$107,657	$13,023	$0	$13,023	0.12x	(31.3)%

Marquette Exploration, LLC

Fully Realized

Company Description

Marquette Exploration is a privately held Houston based independent oil and gas company focused on acquiring and exploiting reserves in the western flank of the Appalachian Basin and other various unconventional resource plays. Marquette Exploration is managed by four seasoned oil and gas professionals: Dick Wilken, Gerald Zieche, Trey Shepherd and Terry Huchton. These management members were formerly the key senior technical personnel at Burlington Resources (now ConocoPhillips) in the unconventional resources and exploration group. Marquette Exploration's strategy is to utilize its experience and expertise to develop domestic oil and natural gas reserves in various unconventional resource plays.

Transaction Summary

Fund VI formed a limited liability company with Marquette Exploration in September 2006, committing $50 million. The management team committed an additional $1 million, providing total capital of $51 million. In early 2008, the Board of Managers approved an expansion to the company's capital commitment in order to fully exploit captured prospects and to allow the company to pursue new opportunities. Fund VII and management committed an additional $50.0 million and $1.0 million, respectively, bringing Marquette's total capital commitment to $102.0 million. Fund VII will fund its pro-rata share of future capital calls. Fair value of Marquette at the time of the Fund VII expansion was approximated at cost. The investment takes the form of common equity with EnCap receiving 98% of the available cash flow until an 8% IRR on investment is earned, and thereafter distributions are allocated on a graduated basis until higher IRR and ROI targets are met. EnCap holds a majority position on the Board of Managers.

Post Investment Activity

Consistent with the company's strategy, Marquette identified three unexploited and/or underexploited resource play concepts located in East Ohio, North Louisiana and Michigan and established significant acreage positions in each play. During Q2 2010, Marquette sold its Michigan assets (123,000 net acres) to Chesapeake Energy Corporation (NYSE: CHK) for $74 million. This purchase price represented a 5.2x ROI on Marquette's invested capital in the project. Marquette retained a 3-7.5% overriding royalty interest in the leases, which could provide future value for the company.

Marquette aggregated over 65,000 net acres in East Ohio that are prospective for Utica Shale and Marcellus Shale development. Marquette drilled one horizontal Utica well and three horizontal Marcellus wells. The initial Marcellus well was completed in late 2009.

In August 2011, Marquette closed the sale of its East Ohio assets to Hess Corporation (NYSE: HES), and as a result Fund VI and VII received distributions of $206.8 million and $145.6 million, respectively. In addition, Fund VI received $44.3 million and Fund VII received $31.2 million related to post-closing adjustments and the escrow holdback. Including prior sales events and distributions related to the escrow holdback, Marquette represents a 5.7x ROI and 62% IRR net to Fund VI and a 4.6x ROI and a 145% IRR net to fund VII. Marquette retained a ~3.5% ORRI on substantially all the East Ohio acreage.

In Q1 2019, EnCap (both Fund VI and Fund VII) sold its 51% share of the retained ORRI through a marketed sales process to a confidential financial institution for $61.0 million. Fund VII received a ~$25.0 million distribution as a result of this sale in addition to a final cash sweep from ORRI revenue. As of the 10/1/18 effective date, there were 160 wells producing (average NRI of just under 0.7%; 100% dry gas), and Ascent Resources and Gulfport are the two most significant operators. The purchase price equates to ~$7,500/NRA and ~12% LTM yield.

Valuation ($000's)

Date of Initial Investment	Capital Invested	Realized Proceeds	Unrealized Value	Total Value	ROI	IRR
Dec-08	$41,633	$223,159	$0	$223,159	5.36x	145.0%

Cornerstone Natural Resources LLC

Fully Realized

Company Description

Cornerstone is a privately held, Denver based independent oil and gas company focused on the acquisition and exploitation of oil and gas properties in the onshore United States. Cornerstone was originally capitalized as a start-up in December 2005 with $30 million in common equity commitments from Fund V and the original senior management team. Following the departure of three of the company's four original principals during 2007 and 2008, Fund V purchased the original management team's ownership interest in January 2008, leaving Fund V with 100% of Cornerstone's outstanding common units.

In October 2008, EnCap closed a subsequent transaction to provide the company with new senior leadership and an increased equity commitment. Cornerstone is now led by Jay W. Decker and David J. Kornder, proven executives who previously served as President and CFO, respectively, of Patina Oil & Gas Corporation where they created nearly $3 billion in shareholder value with only $150 million in invested and contributed equity. Coincident with this change in leadership, Cornerstone was recapitalized with an additional $118 million of equity for use in the exploitation of existing assets and the pursuit of additional opportunities.

Transaction Summary

Fund V formed a limited liability company with Cornerstone in December 2005, committing $29.6 million of the company's original $30 million equity capitalization. Coincident with the installation of Decker and Kornder as chairman and CEO in October 2008, Fund VII committed an additional $98 million as part of a broader $118 million increased equity commitment. In order to recognize the market value of Fund V's investment in the context of the new equity raise, Fund V's invested capital of $29.2 million was adjusted to an equity value of $39.3 million in the go-forward company (based on a pre-money enterprise value for Cornerstone of $44.5 million). Through this structure, Fund V will continue to participate meaningfully in any future value creation through its ownership stake in the company, while Fund VII will fund EnCap's share of all future capital calls. The investments take the form of common equity with Fund V and Fund VII receiving 25% and 61%, respectively under a fully-funded scenario, of the available cash flow until an 8% IRR and a 1.25x ROI is earned. Thereafter, management is entitled to a graduating percentage of distributions as higher IRR and ROI targets are met. EnCap holds a majority position on the Board of Managers.

Post Investment Activity

Cornerstone utilized 98% of its original $30 million commitment through the acquisition and development of its existing assets in Carbon County, Wyoming and Burke County, North Dakota. Since the new management team took over and the equity commitment was expanded, the company has fully drawn down its $157.2 million commitment to expand its acreage footprint and develop the Bakken and Three Forks potential in Burke County as described below.

Cornerstone's approximately 61,000 net acre leasehold position is primarily located in Burke County, North Dakota (~55,000 net acres, 30,000 HBP) and Sheridan County, Montana (~6,000 net acres). In North Dakota, Cornerstone controls approximately 68 1,280-acre drilling spacing units ("DSUs") prospective for Bakken and Three Forks development and approximately 98 640-acre DSU's prospective for Midale / Nesson development.

The company entered into a two-phase joint venture agreement whereby a financial partner funded 90% of the capital costs for seven wells in exchange for a non-operated working interest on the company's Burke County acreage. This drilling program has demonstrated mixed results to date, and there are no current plans to drill additional grassroots Bakken wells at current commodity prices. At the request of its JV partner, Cornerstone sold the JV partner a 12% minority interest in the company.

In March 2019, Cornerstone closed on the sale of its Burke County assets to Smart Oil & Gas for $10 million of cash consideration. The proceeds were distributed to Wells Fargo which agreed to accept the payment as full satisfaction of the company's debt obligations. The sale represented substantially all of Cornerstone's remaining assets.

Valuation ($000's)

Date of Initial Investment	Capital Invested	Realized Proceeds	Unrealized Value	Total Value	ROI	IRR
Apr-09	$95,202	$11,542	$0	$11,542	0.12x	(70.9)%

Tracker Resources Development II LLC

Fully Realized

Company Description

Tracker Resources is a privately held Denver based independent oil and gas company focused on acquiring and exploiting oil and gas properties. Tracker I was a Sandefer Capital Partners portfolio company formed in 2004 and managed by Jeff Vaughan, Shawn McCarter and Rich Aurand. Prior to Tracker, Mr. Vaughan was with Sandefer Capital, where he was responsible for sourcing and developing investment opportunities in the Rocky Mountains and, along with the remaining management team members, has extensive oil and gas related experience with major and independent oil and gas companies. Tracker I sold the majority of its properties in 1H 2006, and the management team partnered with Fund V to form Tracker II. Tracker continues to employ an acquisition and exploitation strategy of oil and natural gas in established tight gas and unconventional resource plays with its primary focus in the Rocky Mountain basins.

Transaction Summary

Fund V formed a limited liability company with Tracker in May 2006, committing $50.25 million. The management team committed an additional $0.75 million, providing total capital of $51 million at the time of formation. In Q2 2009, Fund VII committed $50.25 million and management committed an additional $0.75 million, bringing Tracker's total capital commitment to $101.0 million. Fund VII funded 100% of EnCap's portion of future capital calls as Fund V's capital commitment had been fully utilized. Fair value of Tracker at the time of the Fund VII expansion was deemed to be $34.0 million, which was based on ZBI Ventures' valuation of TREND and supported by a valuation prepared by Simmons & Company International. The investment takes the form of common equity with EnCap receiving 98.5% of the available cash flow until an 8% IRR, and thereafter distributions are allocated on a graduated basis until higher IRR and ROI targets are met. Thereafter, the remaining distributions will be split among Fund V and Fund VII based on a 20% promote on Fund VII's common equity ownership. EnCap holds a majority position on the Board of Managers.

Post Investment Activity

Tracker and Red Arrow Energy (another EnCap portfolio company) each own a 50% interest in Tracker Resource Exploration ND, LLC ("TREND"), a private operating company with in excess of 150,000 net acres and producing properties in the Bakken Shale resource play in North Dakota. Due to the large capital exposure over the next several years associated with developing the existing TREND asset base, TREND sold a 50% equity interest in substantially all of the assets to ZBI Ventures ("ZBI") for approximately $90.0 million. ZBI is an experienced, sophisticated investor in energy, and we believe they will be a good long-term partner in TREND. The combined entity is named TRZ Energy.

During Q4 2010, TRZ closed on the sale of the company and its Bakken Shale assets to Hess Corporation for $1.0428 billion. As a reminder, TRZ was owned 50% by the Ziff family ("ZBI"), 25% by Tracker II, and 25% by Red Arrow. In addition to the TRZ sale, Tracker II and Red Arrow (through their equal partnership in TREND LLC) also sold certain assets held outside of TRZ and primarily located in Stark County, ND to Hess for $7.2 million. As a result of the operational success achieved by TRZ, coupled with a strong oil price environment and industry demand for Bakken Shale development upside, the combined $1.05 billion exit valuation resulted in very attractive sale metrics considering the high undeveloped acreage component of the assets (76% of allocated value).

Valuation ($000's)

Date of Initial Investment	Capital Invested	Realized Proceeds	Unrealized Value	Total Value	ROI	IRR
Jun-09	$12,564	$43,572	$0	$43,572	3.47x	114.9%

Empresa Energy, LLC (Empresa II)

Fully Realized

Company Description

Empresa II is a privately held, Houston based independent oil and gas company led by Jeff Elkin, Dale Bowering, and Sean Keenan. The team initially partnered with EnCap Fund V in 2004 in Empresa Energy, LP (Empresa I). Over multiple divestitures (primarily to Chesapeake Energy), Fund V received total proceeds of approximately $336.2 million on $86.2 million invested, resulting in a 3.9x ROI and 98% IRR. Management offers an attractive combination of technical and operational expertise with a track record of creating significant value in various unconventional resource plays. Empresa II intends to use a similar business model to that of Empresa I, which entails aggregating and divesting an attractive, long-lived resource base with lower-risk and repeatable drilling opportunities.

Transaction Summary

Empresa II was formed in July 2009 with a $46.25 million commitment from Fund VII and an additional $3.75 million from Empresa management. In Q3 2010, and following the divesture of substantially all its assets at the time, Fund VII and Empresa management recapitalized Empresa II with a new $100 million equity commitment. Fund VII committed $92.5 million and the management team committed $7.5 million. The investment takes the form of common equity with Fund VII receiving 92.5% of the available cash flow until a 10% IRR and a 1.0x ROI is earned, and thereafter distributions are allocated on a graduated basis until higher IRR and ROI targets are met. Fund VII holds a majority position on the Board of Managers.

Post Investment Activity

Over the course of the first year, the company evaluated the technical and economic merits of the Eagle Ford resource play, monitored activity, and strategically aggregated approximately 14,300 net acres in the oil/condensate window in La Salle, McMullen, and DeWitt Counties, Texas. In April 2010, Management received approval from the Board to commence development of its acreage by drilling three horizontal test wells during the second half of 2010. However, immediately after the Board approved these operations, Chesapeake expressed unsolicited interest in acquiring the company's Eagle Ford acreage. Negotiations soon commenced, and a letter of intent to sell Empresa II's leases was executed on May 25, 2010. On June 25 2010, Empresa II successfully closed the sale of 14,282 net Eagle Ford acres to Chesapeake for $124.9 million. The purchase price equates to $8,750 /acre, or ~9.4x the company's cost basis in the acreage (~$931/acre).

Commensurate with the Eagle Ford sale, Empresa management began evaluating the emerging Brown Dense (part of the prolific Smackover interval) oil play in North Louisiana. In order to properly capitalize the company to capture a position in this play as well as other opportunities management was pursuing, Fund VII and management agreed to recapitalize the entity with an increased $100 million commitment. Management ultimately assembled a ~35,000 net acre position in the Brown Dense play. Empresa II and its operating partner Southwestern Energy jointly drilled the Hollis 27-22-3 during 2H 2013 in Union Parish, Louisiana. Empresa controlled a 28% WI in this vertical test well. In summary, this well was uneconomic due to a high-water cut and low reservoir pressure.

Empresa II also leased nearly 80,000 gross acres in the Northern Permian Basin targeting a northern extension of the Wolfcamp and Cline formations. In Q4 2011, Empresa II sold down 20% of its land position in this area to a JV partner for $600 per acre and a 15% carry on the first six wells drilled (JV partner paying 35% of well costs to earn its 20% interest). The company's initial test wells in Hockley County (Wolfcamp) and Terry County (Cline) were unsuccessful. The company conducted a sales process for these assets but was unable to attract any bids.

Valuation ($000's)

Date of Initial Investment	Capital Invested	Realized Proceeds	Unrealized Value	Total Value	ROI	IRR
July-09	$81,010	$90,114	$0	$90,114	1.11x	444.3%

Paloma Partners II, LLC

Fully Realized

Company Description

Paloma II is a privately held Houston based independent oil and gas company focused on the Haynesville Shale in East Texas and Northeastern Louisiana. The management team is led by Chris O'Sullivan, John Hastings, John Whiting, Mark Gabrisch and David Elmer. EnCap has a significant track record of value creation with Mr. O'Sullivan from its Fund III investment in San Juan Partners in 1998 and its Fund VI investment in Paloma Barnett in 2007, which earned IRRs of 67.2% and 197.9%, respectively. Managements' strategy is to capture and develop a core acreage position within the more highly economic areas of the Haynesville Shale. This strategy is very similar to that followed in Paloma Barnett which focused on highly economic areas of the Barnett Shale.

Transaction Summary

In November 2009, Fund VII committed $153.1 million and co-investors committed $25.0 million to Paloma II. Management committed $4.0 million, providing a total equity commitment of $182.1 million to the company. The investment is structured in the form of common equity with Fund VII and co-investors receiving 97.8% of distributed cash until a 10% IRR is achieved, and thereafter distributions will be allocated on a graduated basis as certain IRR and ROI targets are met. Fund VII holds a majority position on the Board of Managers.

Paloma II implemented a highly-focused leasing strategy in both the Eagle Ford and Haynesville Shale plays targeting only the most economic acreage. In November 2010, Paloma II agreed to sell the majority of its Haynesville Shale acreage (~5,681 net acres) for a total of $38.9 million in two separate transactions with Chesapeake Energy and XTO Energy. The XTO sale closed in December 2010 and the Chesapeake sale closed in February 2011. Paloma II also sold an additional Haynesville package to XTO for $3.7 million in Q2 2011. Proceeds from the Haynesville sales were not distributed and were used for additional Eagle Ford leasing as well as for the development of Paloma II's Eagle Ford acreage. Paloma II will look to monetize its remaining Haynesville assets on an opportunistic basis moving forward.

Post Investment Activity

Paloma II assembled a ~17,000 net acre position in the condensate window of the Eagle Ford Shale play and initiated a development program on this acreage beginning in Q1 2011. The company ended up drilling and completing nine Eagle Ford wells, bringing production to ~8,000 boepd net.

Paloma II engaged Jefferies & Co. in Q4 2011 to pursue a sale of the company's Eagle Ford asset. In Q3 2012, the company closed a sale of its entire asset base to Marathon Oil Corporation for $750 million. Total proceeds from the sale, including additional holdbacks received, resulted in a ~3.4x ROI and 81% IRR on Fund VII's $124 million investment.

Valuation ($000's)

Date of Initial Investment	Capital Invested	Realized Proceeds	Unrealized Value	Total Value	ROI	IRR
Nov-09	$123,988	$423,695	$0	$423,695	3.42x	81.3%

Enduring Resources LLC

Fully Realized

Company Description

Enduring Resources was a privately held Denver based independent oil and gas acquisition and development company focused on acquiring and developing oil and natural gas reserves in North America. The management team was led by Barth Whitham, former President and COO of Westport Resources and Brian Bess, Former VP of Engineering of Westport Resources. This team had extensive industry experience in the Rocky Mountains, South Texas and the Gulf Coast.

Transaction Summary

Fund V formed a limited partnership with Enduring in December 2005 and committed $74 million to acquire and develop properties in the above mentioned basins. In addition to Fund V, CSFB, Lehman, Liberty (the "Investor Group") and management committed $126 million giving Enduring a total commitment of $200 million. The investment was in the form of common equity with the Investor Group receiving 92% of the available cash flow until a 5% IRR on the investment was earned, and thereafter distributions were allocated 76.8% to the Investor Group and 23.2% to management. The Investor Group held a majority position on the seven member Board of Managers with EnCap having two positions.

In August of 2006, the total commitment to Enduring was increased by $115 million from $200 million to $315 million. EnCap, the Investor Group and management each increased their share of the commitment on a pro-rata basis bringing EnCap's total commitment to $117 million. In July 2008, the total commitment to Enduring was increased for the second time by 122.5 million from $315 million to $437.5 million. EnCap, the Investor Group and management each increased their share of the commitment on a pro-rata basis bringing Fund V's total commitment to $158.9 million. In December 2009, Enduring's commitment was further expanded through EnCap Fund VII by $154.7 million.

Post Investment Activity

In August 2008, Enduring sold its East Texas assets (located in Rusk and Panola counties) to Cabot (NYSE: COG) for $602.8 million ($468.6 million net to Enduring's 80% working interest) in an all cash transaction. The transaction resulted in a $368.4 million distribution to the investors and a $45.3 million distribution to management (after paying down all of Enduring's outstanding debt of $55 million). This sale resulted in a $139.4 million distribution to Fund V.

In December 2010, Enduring sold its South Texas Eagle Ford Shale asset base to Talisman and Statoil (50/50 joint venture) for $1.325 billion. The purchase price equated to approximately $10,900 per acre, taking into consideration Enduring's existing production of 5,500 boepd, as well as gas processing infrastructure that was included with the acquisition. At closing, Fund VII received a cash distribution of $79.3 million. In June, Fund VII received a $6.4 million distribution related to holdback proceeds and the sale of top leases.

In March 2011, Enduring closed the sale of its Robertson County assets to O'BENCO II for $43 million. The purchase price equated to metrics of ~$1.80 per Mcfe and ~$9,350 per Mcfepd. At closing, Fund VII received a cash distribution of $3.1 million. In June 2011, the investor group extinguished its remaining commitment to Enduring I and made a new $600 million commitment to Enduring II. EnCap represents 48.3% of the Enduring II investor group with $112.2 million committed from Fund VII and $180 million committed from Fund VIII.

Enduring I sold its remaining assets to Enduring II for $24.8 million (approved by Advisory Board in December 2011), resulting in a final distribution of $1.9 million to Fund VII.

Valuation ($000's)

Date of Initial Investment	Capital Invested	Realized Proceeds	Unrealized Value	Total Value	ROI	IRR
Mar-10	$41,699	$96,741	$0	$96,741	2.32x	333.4%

Phillips Energy Partners II, LLC

Substantially Realized

Company Description

Phillips II is a Shreveport, Louisiana based oil and gas company focused on acquiring producing and targeted non-producing fee mineral interests throughout the United States. The management team is led by Chris Phillips, the former co-founder and Executive Vice President of Texla Energy, a gas marketing company representing over 150 oil and gas producers. In August 2006, EnCap Fund V committed $1.5 million to Phillips Royalty Partners 2, L.P., which sold in May 2008 for $2.5 million net to Fund V representing a 45% IRR and 1.7x ROI. In April 2007, EnCap Fund VI committed $30.6 million to Phillips Energy Partners to aggregate smaller royalty interests into larger packages for sale to acquirers of royalty interests, thereby taking advantage of the arbitrage in purchase price metrics between small and large royalty packages. Through three separate transactions, PEP I sold assets to Noble Royalties for a total of $56.3 million of proceeds resulting in $47.4 million of distributions net to Fund VI and a 1.5x realized ROI. PEP I still retains significant interests in a variety of properties throughout the U.S., most notably under EOG in Reeves County, Texas.

Consistent with the prior strategy, Phillips II will acquire a mix of lower risk PDP mineral royalty interests and higher return potential non-producing mineral royalty interest in high-quality shale areas. These interests will then be packaged for sale to a larger royalty acquirer or a publicly traded Master Limited Partnership (“MLP”).

Transaction Summary

In February 2010, Fund VII committed $51.0 million to Phillips II. Management committed an additional $4.0 million providing total equity commitment of $55.0 million to the company. The investment is structured in the form of common equity with Fund VII receiving 90.91% of distributed cash until an 8% IRR and 1.1x ROI, and thereafter distributions will be allocated on a graduated basis as certain ROI targets are met. Fund VII holds a majority position on the Board of Managers.

Post Investment Activity

Phillips II executed on its strategy of acquiring a diversified portfolio of internally sourced PDP and non-producing royalty interests located primarily in the Haynesville, Permian, Marcellus, Eagle Ford and Bakken Shale plays.

During Q3 2016, EnCap parted ways with PEP II management, and the company’s assets are currently being managed on a contract basis.

In March 2019, Phillips Energy II closed on the sale of all of its assets to Kimbell Royalty Partners (NYSE: KRP) in exchange for ~3.3 million shares of KRP.

Recent Events

During Q1 2022, EnCap sold 3,276,119 shares of KRP stock for an effective share price of $15.04/share. Net of fees, legal expenses, and management interest, Fund VII received ~$49.6 million in distributions from the sale. Post stock sale, PEP II will be essentially fully realized and represents a 1.7x ROI net to Fund VII.

Valuation ($000’s)

See valuation assumptions for valuation basis.

Date of Initial Investment	Capital Invested	Realized Proceeds	Unrealized Value	Total Value	ROI	IRR
Mar-10	$51,020	$86,935	$660	$87,595	1.72x	6.6%

Common Resources II, LLC

Fully Realized

Company Description

Common II is a Woodlands, Texas based oil and gas company focused on creating value opportunistically through the drill-bit. The company was created on the heels of the sale of Common Resources, LLC (Common I), a Fund VI and Fund VII portfolio company that sold assets in May 2010 in two transactions for a combined purchase price of $805 million, providing the EnCap funds with a 3.0x ROI and 119% IRR. Common I was successful in building core acreage positions in both the Haynesville and Eagle Ford Shales and drilling wells in each of these areas in order to establish their resource potential. Common II's management team consists of the same core group of individuals that were instrumental in the value creation process in Common I and will be led by Tom Jones (CEO) and Roger Jarvis (Chairman). Mr. Jones has over 25-years of industry experience in various senior engineering and operations roles with Chevron, Torch Energy and others. Mr. Jarvis previously served as President and CEO of Spinnaker Exploration from its inception in 1996 through its eventual sale to Norsk Hydro for $2.6 billion in December 2005. Additional management members consist of the core technical and operating team from Common I.

Consistent with its prior strategy, Common II is focused on building core positions in domestic unconventional resource plays through ground floor leasing and farm-in agreements with industry players and drilling wells to delineate the economic viability of the areas.

Transaction Summary

EnCap and Pine Brook Road Partners (who partnered with EnCap in Common I) will each commit $200 million to Common II for a total Investor Group commitment of $400 million. EnCap's $202 million commitment amount (includes placement fees) is allocated between Fund VII ($102 million) and Fund VIII ($100 million). Management will commit $10 million providing the company with a $412 million equity commitment. The investment is structured in the form of common equity with the investor group receiving 97.1% of distributed cash until an 8% IRR and thereafter distributions will be allocated on a graduated basis until certain IRR and ROI targets are met. The board of directors will be jointly controlled by EnCap and Pine Brook with each having two representatives of a six-member board. EnCap's approval is required for all material board decisions.

Post Investment Activity

Common II built a sizeable acreage position (~190,000 net acres) in the Midland Basin of West Texas prospective for a number of emerging liquids-rich plays, including the Cline and Wolfcamp. The company drilled several initial wells in late 2011 to test certain formations and gain critical geologic data. Common II analyzed the results of those wells along with other available industry data to determine the most compelling plan moving forward.

In Q2 2012, Common II engaged RBC Richardson Barr to investigate a sale of the company's Permian Basin package. In Q3 2012, the company closed the sale of its entire acreage position to the same buyer in two separate transactions. Including holdbacks, total net proceeds from these sales resulted in distributions of ~$45 million net to Fund VII, resulting in a 1.65x ROI and 49% IRR on $27.4 million of invested capital.

Valuation ($000's)

Date of Initial Investment	Capital Invested	Realized Proceeds	Unrealized Value	Total Value	ROI	IRR
May-10	$27,426	$45,363	$0	$45,363	1.65x	49.6%

Caiman Energy, LLC

Fully Realized

Company Description

Caiman Energy is a Dallas based midstream company pursuing a portfolio of greenfield projects in the Marcellus, primarily in the wet gas area in West Virginia. Caiman is led by a top midstream industry management team comprised of Jack Lafield, Danny Thompson, Rick Moncrief and Stephen Arata, representing approximately 115 years of experience in the midstream industry. Most recently, Mr. Lafield and Mr. Thompson were part of the executive management team with Crosstex Energy as Executive Vice President of Corporate Development and Senior Vice President of Operations and Engineering, respectively, and Mr. Moncrief and Mr. Arata served as Executive Vice President/Chief Operating Officer and Executive Vice President/Chief Financial Officer for Regency Energy Partners, respectively. Management has a strong track record of designing, constructing, acquiring, operating, optimizing and expanding both greenfield and large, complicated midstream assets. Consistent with management's expertise, Caiman's growth strategy centers upon building a natural gas midstream business focused on the acquisition and development of gathering, transporting, processing and treating assets in areas where the team can leverage its past experience and relationships, including development of new, lower-risk midstream systems in the emerging resource plays.

Transaction Summary

In February 2009, EFM I committed $48.5 million to Caiman. Management committed an additional $1.5 million providing total equity commitments of $50.0 million to the company. During May and July 2010, Caiman underwent a series of commitment expansions increasing Caiman's total commitment to $379.3 million, with EFM I committing $119.5 million, EnCap Fund VII committing $50.0 million, EnCap Fund VIII committing $50.0 million, other co-investors committing $156.0 million and management committing $3.8 million. In Q3 2011, Management completed a $300.0 million preferred equity facility with Highstar and two existing Class A owners raising Caiman's total equity availability to $679.3 million. The investment is structured in the form of common with the investor group receiving 99% of distributed cash until an 8% IRR and 1.25x ROI is earned, and thereafter distributions will be allocated on a graduated basis as certain ROI targets are met. EFM I and EnCap hold a majority position on the Board of Managers.

Post Investment Activity

Shortly after formation in February 2009, Caiman began focusing on gas gathering and processing opportunities in northern West Virginia in the emerging Marcellus Shale play. The company executed its first profitable long-term gathering and processing agreement in Q4 2009, obtaining dedicated acreage and a volume commitment allowing it to begin construction of its pipeline and processing system. Caiman continued to execute numerous additional contracts and established a franchise in the Marcellus with its rich gas gathering and processing system.

On April 27, 2012, Caiman Energy completed the sale of its Caiman Eastern Midstream, LLC subsidiary ("Caiman Eastern") to Williams Partners L.P. (NYSE: WPZ) for $2.5 billion. The transaction consideration was comprised of $1.78 billion of cash and 11.8 million shares of WPZ common units which were subsequently sold. Remaining assets in Caiman Penn, LLC were sold in Q2 2016, generating an ultimate 140% IRR and 4.4x return on Fund VII's invested capital of $44.3 million.

Management closed on its sale of the Caiman Penn assets to LPR Energy for $4.2 million. Post-closing, Caiman distributed $9.5 million of remaining cash to the equity owners, which resulted in a $0.8 million distribution to Fund VII. EFM and management are currently working to wind-down the entity and expect to do so by year-end 2016.

Valuation ($000's)

Date of Initial Investment	Capital Invested	Realized Proceeds	Unrealized Value	Total Value	ROI	IRR
Jul-10	$44,280	$195,105	$0	$195,105	4.41x	140.6%

Lone Star Land & Energy II, LLC

Fully Realized

Company Description

Lone Star II is a privately-held, Dallas-based oil and gas company led by Gray Powers and Mike Taylor. EnCap initially partnered with Mr. Powers and Mr. Taylor in 2007 through the formation of Lone Star I, a successful venture that resulted in a 4.0x ROI and 80% IRR on Fund VI's $19.2 million investment. Lone Star I was able to successfully build and sell an attractive asset base focused in the Bakken Shale, creating value while properly managing risk.

Prior to Lone Star I, management served as senior executives at Comstock where they led a very active asset evaluation and acquisition program. They and their team sourced and evaluated 2,000 potential acquisitions, made 150 offers totaling $3.4 billion and ultimately closed 56 acquisitions totaling $915 million in transaction value. In large part due to their activities, Comstock's enterprise value grew at a 30% annual rate during their tenure, resulting in a 24x return to the common stockholders. Consistent with the growth strategy pursued in Lone Star I, Lone Star II will rely on management's extensive industry contacts and technical expertise to (i) source acquisitions of producing properties with behind-pipe and drill-bit oriented upside, and (ii) pursue acreage and drilling opportunities in low-risk resource play areas.

Transaction Summary

In August 2010, Lone Star II was formed with a $100 million total equity commitment comprised of $93 million from EnCap and $7 million from management. EnCap's $93 million commitment is allocated between Fund VII ($46.5 million) and Fund VIII ($46.5 million). EnCap's investment is structured in the form of common equity with Funds VII and VIII receiving 93% of distributed cash until an 8% IRR and a 1.25x ROI is earned; thereafter, distributions will be allocated on a graduated basis as certain IRR and ROI targets are met. EnCap holds a majority position on the Board of Managers.

Post Investment Activity

Lone Star II initially acquired a 21,010 acre position in Southern Wyoming prospective for the Niobrara Shale and subsequently drilled and completed six horizontal Niobrara wells with mixed results. The company divested the majority of its Wyoming properties in 2014.

In 2011, Lone Star acquired a 20,000 acre position in the Barnett Shale oil play. Despite encouraging early time well results, the Barnett suffered from takeaway capacity restrictions and falling commodity prices that has since made further development of the play uneconomic in the current environment.

The company has also aggregated smaller non-operated working interest positions in the Bakken Shale play as operators have focused their time and capital on their larger operated positions. Lone Star II has selectively participated in wells as they are proposed based on a thorough analysis of individual well economics.

In Q4 2019, management bought out EnCap's interest in Lone Star II. Fund VII received total distributions of $0.9 million.

Valuation ($000's)

Date of Initial Investment	Capital Invested	Realized Proceeds	Unrealized Value	Total Value	ROI	IRR
Aug-10	$14,183	$1,140	$0	$1,140	0.08x	(30.0)%

Limestone Resources II, LLC

Fully Realized

Company Description

Limestone II is a privately held, Midland, Texas based oil and gas company focused on acquiring and developing acreage in the Permian Basin and the Mid-Continent region. The company was created after the sale of Limestone Resources, LLC (Limestone I), a previous Fund VII portfolio company that sold its Permian Basin assets in August 2010 to Energen Corporation for $185 million. This sale provided Fund VII with ultimate proceeds of $131.7 million on $35.4 million invested, resulting in a 3.7x ROI and 102% IRR. The company is led by Kevin Herrmann (President), Bill Rogers (Geology), and Don Cameron (Geology). The management team has extensive experience and relationships in the Permian Basin and the Mid-Continent region.

Transaction Summary

In December 2010, Fund VII committed $148.5 million to Limestone II. Management committed $4.5 million, providing a total equity commitment of $153 million to the company. The investment is structured in the form of common equity with Fund VII receiving 97.0% of distributed cash until an 8% IRR is achieved, and thereafter distributions will be allocated on a graduated basis as certain IRR and ROI targets are met. Fund VII holds a majority position on the Board of Managers.

Post Investment Activity

Limestone II initially pursued a project in the Midland Basin targeting the Wolfcamp/Cline formations. After re-entering and testing a well in Q3 2011, the company determined the risk/reward equation in that play was less favorable than in some of the company's other project areas. As a result, Limestone II sold its Four Corners position to Shell in October for $12.3 million, representing a small ($1.7 million) profit on the company's investment in the asset. The company also established a position in Garfield and Noble Counties (Oklahoma) prospective for the Mississippi Lime and Woodford Shale. In Q2 2013, the company entered into an agreement to sell substantially all of its Oklahoma assets in Garfield and Noble Counties to Devon for $62.5 million. Management decided to divest this project area given the relatively disappointing results to date and the attractive offer received. This sale resulted in a 1.2x ROI on capital invested in this project area, and the company refocused its efforts on its other project areas. Limestone II pursued three key project areas through greenfield leasing and minor acquisitions including positions in: (i) Blaine, Major, and Dewey Counties (Oklahoma) prospective for multiple formations (i.e. Osage, Meramec, and Woodford), (ii) Culberson County (Texas) prospective for the Wolfcamp and Bone Spring formations, and (iii) Andrews County (Texas) prospective for the Wichita-Albany, Clearfork, and San Andres formations.

In the STACK extension of Blaine, Major, and Dewey counties, OK, the company leased ~30,000 net acres. In Q3 2016, the company entered into a joint venture with a drilling partner that minimized Limestone II's capital requirements on 12 operated wells (20% net to the company's WI with a small promote) to help delineate the company's sizeable acreage position for multiple zones. In total, the company drilled 17 operated mixed across the Meramec, Osage, and Woodford. In Q4 2017, the company ran a sales process for this asset with an advisor. However, Limestone II did not receive a favorable bid due to poor market conditions and variability of results. These assets were sold over time across multiple transactions, resulting in ~$11.5 million in total distributions.

In Culberson County, the company drilled four producing Wolfcamp wells on its ~4,500 net acre position. The initial two wells were put online in early 2015 and yielded disappointing results, likely attributable to the completion techniques used (~1,000 lbs/ft) and landing zones targeted (Wolfcamp B and C). In early 2017, the company drilled and completed two additional Wolfcamp A wells with larger completions with its 50% farm-out partner. These wells performed better, but produced more gas than expected, challenging this asset with poor underlying gas prices and Waha differentials (netting negative gas prices at times in 2018 and 2019). In July 2019, Limestone II sold its Culberson County position to an offset operator for minimal value after an extensive process with an advisor.

In Andrews County, the company assembled a small acreage position with six producing wells. Minimal capital was deployed to this area due to the lack of offset operator activity. This asset was sold in late 2018 for ~$2 million, which the company used to pay down all remaining borrowings on its credit facility.

Valuation ($000's)

Date of Initial Investment	Capital Invested	Realized Proceeds	Unrealized Value	Total Value	ROI	IRR
Oct-10	$184,031	$58,647	$0	$58,647	0.32x	(36.6)%

Enduring Resources II, LLC

Substantially Realized

Company Description

Enduring Resources is a privately held, Denver based independent oil and gas acquisition and development company focused on acquiring and developing oil and natural gas reserves in North America. The management team is led by Barth Whitham, former President and COO of Westport Resources, and Brian Bess, Former VP of Engineering of Westport Resources. This team has extensive industry experience in the Rocky Mountains, South Texas and Gulf Coast and seeks to diversify the company's asset base with emphasis on longer life assets. The team initially partnered with EnCap in Enduring I through a combined $310.6 million commitment from EnCap Fund V and VII ($855 total commitment) and pursued a multi-basin strategy (East Texas, South Texas, Robertson County, Texas and Uinta Basin). In December 2010, Enduring closed the sale of its South Texas Eagle Ford Shale assets to Talisman and Statoil for $1.3 billion. Combined with the sale of Enduring's East Texas assets in 2008 and additional distributions from top leases, holdbacks, and remaining assets in 2011 and 2012, EnCap Fund V achieved a 2.5x ROI and 41% IRR on $162.2 million invested, and EnCap Fund VII achieved a 2.3x ROI and 332% IRR on $41.7 million invested.

The management team of Enduring II has remained the same as it was in Enduring I. Enduring II is following a similar strategy which entails pursuing a diverse portfolio of acquisition and exploitation opportunities in central onshore U.S. basins with an emphasis on longer life assets.

Transaction Summary

In May 2011, Enduring II was formed with a $600 million equity commitment comprised of $180 million from EnCap Fund VIII, $110 million from EnCap Fund VII, $75 million from Trilantic, $52 million from CSFB, $52 million from Avista, $75 million from Liberty, and $33 million from the management team. In Q4 2013, Enduring II's total equity commitment was expanded by $100 million by its existing investors to $700 million in order to fund additional development of the company's existing asset base, primarily in the Southern Midland Basin. Enduring II's expanded $700 million equity commitment is comprised of $210.0 million from EnCap Fund VIII, $128.3 million from EnCap Fund VII, $87.5 million from Trilantic, $60.7 million from CSFB, $87.5 million from Avista, $87.5 million from Liberty, and $38.5 million from the management team.

The investment is structured in the form of common equity with the investor group receiving 90.5% of the available cash flow until an 5% IRR and 1.0x ROI is earned; thereafter, distributions are allocated on a graduated basis as IRR targets are met. EnCap holds two of nine board seats and has negative control over all major decisions.

Post Investment Activity

In Q4 2011, Enduring II purchased the remaining assets out of Enduring I for $24.8 million (approved by Advisory Board in December 2011). These assets consisted mainly of ORRIs with ~$12.8 million of PDP PV-10 value and ~46,000 net acres located primarily in the Uinta Basin in Utah.

In Q3 2014, Enduring II closed on the sale of its Southern Midland Basin Assets to an affiliate of American Energy Partners ("AEP") for $2.5 billion in an all-cash transaction. These assets included ~63,000 net acres in the core of the Wolfcamp play in Reagan, Irion, and Crockett Counties, Texas, which the company built through a series of leasing and acquisitions. Offset operators in this area include EOG, Pioneer, and Apache. Management was successful in building out a highly economic horizontal Wolfcamp development program through drilling or participating in over 150 wells and establishing a sizeable reserve and production base.

In subsequent quarters, Enduring II divested its non-core assets in the Eastern Midland Basin, Delaware Basin, and Uinta Basin that had limited value. Fund VII and Fund VIII retained their pro rata interest (11.7% and 19.2% ownership, respectively) in the ORRIs that Enduring II purchased from Enduring I. The ORRI generated gross (8/8ths) cash flow of ~$8 million in 2019.

Recent Events

In July 2022, EnCap closed the sale of its interests in the retained ORRIs to a private buyer for $7.2 million in cash proceeds at closing (38% Fund VII and 62% Fund VIII). A cash distribution will be made in the near term, and we expect to make one or more smaller distribution(s) over the next few months related to a contingency payment and a holdback related to the sale.

Valuation ($000's)

See valuation assumptions for valuation basis.

Date of Initial Investment	Capital Invested	Realized Proceeds	Unrealized Value	Total Value	ROI	IRR
Jun-11	$106,165	$302,968	$2,807	$305,775	2.88x	68.2%

Piedra Energy II, LLC

Fully Realized

Company Description

Piedra II is a privately held, Midland based oil and gas company managed by Chip Smith and Robert Beecherl that is focused in the Permian Basin. The team initially partnered with EnCap Fund VII in Piedra Energy I, where the company and certain working interest partners sold Wolfberry assets to Berry Petroleum for $123 million, providing Fund VII with a 2.4x ROI and 47% IRR on $45 million invested. Prior to Piedra I, Mr. Smith spent 18 years focused on property acquisitions and exploration and was formerly the founder/co-founder of Charter Royalty Company, Parsley & Smith and Vecta Technology. Mr. Beecherl spent 19 years focused on acquisitions and divestments at Vecta Technology, Sugarberry Oil & Gas and Verdad Oil and Gas. Management is employing a Permian-focused strategy similar to Piedra I, pursuing exploration and development of lower risk resource plays with scalability and upside potential.

Transaction Summary

In July 2011, Piedra II was formed with a $127.4 million total equity commitment comprised of $119.9 million from EnCap and $7.5 million from management. EnCap's investment is structured in the form of common equity with Fund VII receiving 94% of distributed cash until an 8% IRR and a 1.0x ROI is earned; thereafter, distributions will be allocated on a graduated basis as certain IRR and ROI targets are met. EnCap holds a majority position on the Board of Managers.

Post Investment Activity

Management initially transferred 2,240 undeveloped net acres in Martin County, TX (the "Holt/Mabee lease") that were left over from Piedra I into Piedra II upon formation. The assets were leased immediately prior to the sale to Berry and were transferred at cost.

Piedra II developed its Martin County acreage by running one rig in the Holt/Mabee project (6,200 gross acres) in Martin County, TX drilling vertical Wolfberry wells. Prior to signing a PSA to sell the asset, the company was producing ~650 Boepd net and generating ~$1.2 million of monthly operating cash flow.

Piedra II also finalized a deal in Q4 2014 to sell down 70% of its 11,800 net acres in the Wolfbone play in Pecos and Reeves Counties, TX for $4,700/acre. The transaction was for 50% cash and 50% drilling carry and has enabled Piedra II to significantly reduce its risk in this area while maintaining meaningful exposure to the upside associated with the project.

In June 2014, the company sold its Midland Basin assets to Athlon for ~$170 million net to Piedra. After accounting for debt repayment and other holdbacks, the company distributed ~$106 million net to Fund VII. Overall, Fund VII is expected to realize a 3.2x ROI and ~50% IRR when accounting for proceeds recently received in the sale described below.

In Q2 2017, Piedra II completed the sale of 739 net acres located in Reeves and Pecos Counties, Texas to Diamondback for ~$31.5 million in gross proceeds, or ~$20.8 million net to Fund VII. This acreage was a tag-along sale to Diamondback's acquisition of Brigham Resources, which closed in February 2017.

Valuation ($000's)

Date of Initial Investment	Capital Invested	Realized Proceeds	Unrealized Value	Total Value	ROI	IRR
Jul-11	$43,163	$138,966	$0	$138,966	3.22x	48.3%

EARTHSTONE ENERGY, INC. (formerly Oak Valley Resources, LLC)

Fully Realized

Company Description

Earthstone Energy, Inc. (NYSE: ESTE) is a publicly-traded independent oil and gas company focused on the exploration and production of onshore assets in the U.S. Management is led by Frank Lodzinski, Robert Anderson and their technical team, who previously led Oak Valley Resources, LLC ("OVR") and have a demonstrable track record of value creation over the last 20 years in various public and private companies. Prior to partnering with EnCap in OVR, Mr. Lodzinski managed GeoResources, Inc. (formerly NASDAQ: GEOI), which was merged with Halcon Resources (NYSE:HK) in April 2012 for $1 billion. At closing, the transaction generated a 4.9x ROI and a 38% IRR for original investors. OVR marked EnCap's third partnership with Mr. Lodzinski (after Cliffwood Oil & Gas and AROC) in the last 20 years and the fifth oil & gas company Frank and his team have managed since the late 1980s.

Transaction Summary

In December 2012, EnCap contributed the assets of Oak Valley Energy, LLC (Funds V and VII) and ECC VI (Fund VI) to OVR, a newly formed entity, for a deemed equity value of $54 million. Concurrent with the asset contribution, Fund VII capitalized OVR with a $100 million cash commitment, alongside an additional $115 million of cash commitments from outside investors including Wells Fargo and Vlasic Investments. This transaction allowed EnCap to consolidate stranded, out-of-favor assets under a proven management team, while also capitalizing management with equity to pursue new opportunities.

Post-Investment Activity

During Q2 2013, OVR and Flatonia Energy ("Flatonia") jointly closed on the acquisition of approximately ~50,000 net acres in Fayette and Gonzales Counties prospective for the EF oil window and Austin Chalk formations for $290 million. OVR retained a 30% WI in this asset (~15,000 net acres) for $87 million and assumed operatorship. Flatonia purchased the remaining WI as a non-operating partner. This acquisition included 33 producing wells, nearly all of which were drilled by Management while operating the properties at GeoResources.

During Q2 2014, OVR signed an agreement to reverse merge into ESTE. The terms of the original agreement called for OVR to contribute all of its properties and remaining cash commitments ($107 million) to ESTE in exchange for 9.1 MM common shares, which would have resulted in OVR and ESTE's existing shareholders owning 84% and 16% of the combined entity, respectively. ESTE's legacy assets included small working interest, non-operated properties in the Bakken, as well as other minor assets.

Subsequent to the reverse merger announcement, OVR entered into an agreement (and amended its prior agreement with ESTE) to acquire an additional 20% WI in its existing EF oil window properties from Flatonia in exchange for 3.0 MM ESTE shares, or 21% of the pro forma entity. This non-cash acquisition increased the Company's WI in the properties to 50% (25,000 net acres pro forma) and closed concurrently with the reverse merger. This series of transactions did not constitute an exit event but was believed to position the company for growth and an ultimate path to monetize public stock.

In May 2016, ESTE completed the acquisition of Lynden Energy Corp. (TSX: LVL). Lynden's assets included ~6,000 net acres (non-operated) in the Midland Basin with ~1,500 Boe/d of production. Per the terms of the merger agreement, ESTE issued 3.7 million shares of stock to Lynden shareholders (representing 21% of the pro forma entity) and assumed ~$29 million of net debt. This acquisition represented the company's strategic entry into the Permian Basin and served as a platform for ESTE to build an operated presence of meaningful scale.

In Q4 2016, ESTE entered into a definitive contribution agreement with Bold Energy III, LLC under which ESTE acquired all of the outstanding membership interests of Bold. Current Earthstone stockholders received approximately 39% of the combined company, and Bold members received the remaining 61% on a fully diluted basis. The transaction represented EnCap's view of the valuation arbitrage that could be captured by holding these high growth Midland Basin assets in a publicly traded entity. In May 2017, the acquisition closed, and Earthstone assumed control of all operations.

On October 17, 2018, Earthstone announced a definitive agreement to purchase Sabalo Energy ("Sabalo"), a Fund IX portfolio company. On December 22, 2018, Earthstone and Sabalo terminated the transaction due to significant declines in commodity prices, which severely impacted the public capital markets.

In April 2020, Robert Anderson, longtime President of Earthstone, officially became CEO of the Company. Frank Lodzinski assumed the role of Executive Chairman and will remain engaged with company affairs.

In Q4 2020, Earthstone acquired Independence Resources Management, a privately held independent E&P company backed by Warburg Pincus and its affiliates for $182 million, consisting of $131.2 million in cash and 12.7 million Earthstone Class A common stock.

On July 20, 2021, Earthstone completed the previously announced acquisition of Tracker Resource Development III, LLC ("Tracker") and its joint venture partner Sequel Energy Group, LLC ("Sequel") for $81.6 million cash and 6.2 million Earthstone Class A common shares (~$126.5 million of total proceeds).

On November 02, 2021, Earthstone completed the acquisition of privately held Irion County, TX operated assets from Foreland Investments LP and from BCC-Foreland LLC (collectively, "Foreland") for $49.2 million in cash and 2.6 million shares of Earthstone's Class A common stock (~$73.2 million of total proceeds). These assets are due east and offset the Tracker assets acquired by Earthstone in the summer of 2021.

On February 15, 2022, the company closed its acquisition of the assets of privately held Chisholm Energy Holdings, LLC ("Chisholm") from Warburg Pincus and its affiliates for $604 million in total proceeds. Total deal consideration consisted of $340 million in cash, $70 million of deferred cash due over the 12 months after closing, and approximately 19.4 million shares of Earthstone's Class A common stock. The assets are located in the northern Delaware Basin of New Mexico and provide Earthstone with its first footprint in the Delaware Basin.

Recent Events

On January 31, 2022, Earthstone announced a material bolt-on deal to acquire privately held operated assets in the Southern Midland Basin from Bighorn Permian Resources, LLC ("Bighorn") for a total consideration of $713 million. This transaction closed on April 14, 2022, and at closing, Earthstone funded $639 million of cash and issued 5.7 million shares of Earthstone's Class A common stock to Bighorn. To help fund the cash portion of the deal, Earthstone issued $550 million of 8% senior unsecured notes in April 2022 and closed a $280 million PIPE that included $220 million from EnCap (19.8 million new shares of Earthstone Class A common stock net to Fund XI) and $60 million from Post Oak Energy Capital ("Post Oak") (5.4 million new shares to Earthstone Class A common stock). In conjunction with this transaction EnCap Fund VII also sold all 4.6 million of its Earthstone shares to Post Oak for $51 million in total proceeds. Advisory Board approval was received to sell Fund VII's shares separate from the other EnCap Funds involved, and the sale of Fund VII's shares concludes its involvement in Earthstone.

Valuation ($000's)

Date of Initial Investment	Capital Invested	Realized Proceeds	Unrealized Value	Total Value	ROI	IRR
Dec-07	$256,942	$55,760	$0	$55,760	0.22x	(14.7)%

EnCap Energy Capital Fund VII

Section IV:
Financial Statements

ENCAP ENERGY CAPITAL FUND VII, L.P.

FINANCIAL STATEMENTS

JUNE 30, 2022

ENCAP ENERGY CAPITAL FUND VII, L.P.

STATEMENT OF ASSETS, LIABILITIES AND PARTNERS' CAPITAL

		June 30, 2022
ASSETS		
Investments, at fair value (cost $2,121,441)	$	7,187,830
Cash and cash equivalents		4,030,686
Total assets	$	11,218,516
LIABILITIES AND PARTNERS' CAPITAL		
Due to affiliates	$	222,701
Due to Limited Partners		125,165
Total liabilities		347,866
Partners' capital:		
General Partner		2,348,060
Limited Partners		8,522,590
Total partners' capital		10,870,650
Total liabilities and partners' capital	$	11,218,516

The accompanying notes are an integral part of these financial statements.

ENCAP ENERGY CAPITAL FUND VII, L.P.

SCHEDULE OF INVESTMENTS

JUNE 30, 2022

	Shares or % owned	Cost	Fair Value	% of net assets
Private equity investment holdings:				
Malaga Minerals LLC	100.0%	$ -	$ 3,721,000	34.2%
PEP II Holdings, LLC	100.0%	284,101	659,830	6.1%
Red Rocks Company, LLC	11.7%	1,837,340	2,807,000	25.8%
Total investments		$ 2,121,441	$ 7,187,830	66.1%

The accompanying notes are an integral part of these financial statements.

ENCAP ENERGY CAPITAL FUND VII, L.P.

STATEMENT OF OPERATIONS

	Six months ended June 30, 2022
Investment income:	
Interest	$ 5,411
Dividend	2,668,939
Total investment income	2,674,350
Expenses:	
General and administrative	403,075
Total expenses	403,075
Net investment income	2,271,275
Realized and unrealized gain (loss) on investments:	
Net realized loss on investments	(174,580,321)
Net change in unrealized depreciation on investments	177,815,866
Net realized and unrealized gain on investments	3,235,545
Net increase in partners' capital resulting from operations	$ 5,506,820

The accompanying notes are an integral part of these financial statements.

ENCAP ENERGY CAPITAL FUND VII, L.P.

STATEMENT OF CHANGES IN PARTNERS' CAPITAL

	General Partner	Limited Partners	Total
Partners' capital at December 31, 2021	$ 23,757,370	$ 86,230,453	$ 109,987,823
Capital distributions	(22,598,782)	(82,025,211)	(104,623,993)
Net increase in partners' capital resulting from operations	110,136	5,396,684	5,506,820
Incentive allocation	1,079,336	(1,079,336)	-
Partners' capital at June 30, 2022	$ 2,348,060	$ 8,522,590	$ 10,870,650

The accompanying notes are an integral part of these financial statements.

ENCAP ENERGY CAPITAL FUND VII, L.P.

STATEMENT OF CASH FLOWS

	Six months ended June 30, 2022
Cash flows from operating activities:	
Net increase in partners' capital resulting from operations	$ 5,506,820
Adjustments to reconcile increase in partners' capital resulting from operations to net cash provided by operating activities:	
Proceeds from investments	104,150,131
Realized loss on investments	174,580,321
Change in unrealized depreciation on investments	(177,815,866)
Change in operating assets and liabilities	
Increase (decrease) in due to affiliates	186,150
Increase (decrease) in due to Limited Partners	52,238
Net cash provided by operating activities	106,659,794
Cash flows from financing activities:	
Distributions to partners	(104,623,993)
Net cash used for financing activities	(104,623,993)
Net change in cash and cash equivalents	2,035,801
Cash and cash equivalents, beginning of period	1,994,885
Cash and cash equivalents, end of period	$ 4,030,686

The accompanying notes are an integral part of these financial statements.

ENCAP ENERGY CAPITAL FUND VII, L.P.

NOTES TO FINANCIAL STATEMENTS

NOTE 1 – ORGANIZATION:

EnCap Energy Capital Fund VII, L.P. (the "Partnership"), a Texas limited partnership, was formed on June 22, 2007 to provide its partners with an opportunity to participate in privately negotiated equity and equity-related investments in the upstream and midstream independent oil and gas sector of North America. The Partnership operates pursuant to an Amended and Restated Agreement of Limited Partnership (the "Partnership Agreement") dated March 31, 2009, which should be referred to for a complete description of the provisions of the Partnership. EnCap Equity Fund VII GP, L.P. ("General Partner"), a Texas limited partnership, is the sole general partner for the Partnership. There are 142 investors owning the limited partnership interests ("Limited Partners", and collectively with the General Partner, the "Partners"). The General Partner's and Limited Partners' total capital commitments to the Partnership are $51 million and $2,500 million, respectively. There were no remaining commitments outstanding by the Partners to the Partnership or by the Partnership to portfolio companies.

EnCap Energy Capital Fund VII-B, L.P. (the "Feeder"), an affiliated fund, is an investor in the Partnership. The Feeder's ownership in the Partnership's capital is 19.225641%.

The Partnership was to be dissolved upon the expiration of a 10-year period ending July 31, 2017. On July 28, 2017 the Partnership Agreement was amended to extend the life of the Partnership until December 31, 2018. The amendment was approved by greater than 80% of the Limited Partners. As of December 31, 2018 the Partnership began the process of selling all remaining investments and winding down operations, in accordance with the amended Partnership Agreement. Due to recent market conditions, the Partnership is expected to be completely wound down in 2022.

NOTE 2 – SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES:

Basis of Presentation

The accompanying financial statements have been prepared on the accrual basis in accordance with accounting principles generally accepted in the United States of America ("GAAP"). The Partnership is considered an investment company under GAAP and follows the accounting and reporting guidance applicable to investment companies in the Financial Accounting Standards Board Accounting Codification ("ASC") 946, Financial Services – Investment Companies.

Use of Estimates

The preparation of financial statements in conformity with accounting principles generally accepted in the United States of America requires the General Partner to make estimates and assumptions that affect the reported amounts of assets and liabilities and disclosure of contingent assets and liabilities at the dates of the financial statements and the reported amounts of revenue and expenses during the reporting period. Actual results, including the ultimate amount realized upon the sale of illiquid and/or fair valued investments, can, and often do, differ from those estimates.

Investment valuation and transactions

The Financial Standards Accounting Board ("FASB") guidance "Fair Value Measures," establishes a fair value hierarchy that prioritizes the inputs to valuation techniques used to measure fair value. The hierarchy gives the highest priority to unadjusted quoted prices in active markets for identical assets or liabilities (level 1 measurement) and the lowest priority to unobservable inputs (level 3 measurements). The three levels of the fair value hierarchy under the guidance are as follows:

Level 1 Inputs that reflect unadjusted quoted prices in active markets for identical assets or liabilities that the Partnership has the ability to access at the measurement date;

Level 2 Inputs other than quoted prices that are observable for the asset or liability either directly or indirectly, including inputs in markets that are not considered to be active;

Level 3 Prices, inputs or modeling techniques which are both significant to the fair value measurement and unobservable (supported by little or no marked activity).

Inputs are used in applying the various valuation techniques and broadly refer to the assumptions that market participants use to make valuation decisions, including assumptions about risk. Inputs may include price information, volatility statistics, specific and broad credit data, liquidity statistics, and other factors. An investment's level within the fair value hierarchy is based on the lowest level of any input that is significant to the fair value measurement. However, the determination of what constitutes "observable" requires significant judgment by the General Partner. The General Partner considers observable data to be market data which is readily available, regularly distributed or updated, reliable and verifiable, not proprietary, and provided by multiple independent sources that are actively involved in the relevant market. The categorization of an investment within the hierarchy is based upon the pricing transparency of the investment and does not necessarily correspond to the General Partner's perceived risk of that investment.

Partnership investments are valued quarterly by the General Partner. Investment cost and the net realized gains or losses thereon are determined, for financial accounting purposes, on the specific identification method. The Partnership's investments that have been classified within level 3 utilize significant unobservable inputs and trade infrequently, or not at all. Level 3 investments may include common and preferred equity securities, corporate debt, warrants and other privately issued securities. When observable prices are not available for these securities, the General Partner uses one or more valuation techniques (e.g., the market approach or the income approach) for which sufficient and reliable data is available. Within level 3, the use of the market approach generally consists of using comparable market transactions, while the use of the income approach generally consists of the net present value of estimated future cash flows, adjusted as appropriate for liquidity, credit, market and/or other risk factors.

The inputs used by the General Partner in estimating the value of level 3 investments included third party engineering reserve reports, oil and gas NYMEX future prices as of the date the valuation is performed, estimated capital expenditures, estimated operating costs, and risk-adjusted discount factors based on whether the reserves are classified as proved developed producing, proved developed nonproducing or proved undeveloped. Other relevant information considered by the General Partner may include the following factors: original transaction price; recent public or private transactions in the same or similar assets, restrictions on transfer, including the Partnership's right, if any, to require registration by the issuer of the offering and sale of securities held by the Partnership under the securities laws; significant recent events affecting the issuer, including significant changes in financial condition and pending mergers and acquisitions; and all other reasonable and customary factors affecting value. The fair value measurement of level 3 investments does not include transaction costs that may have been capitalized as part of the security's cost basis. Assumptions used by the General Partner due to the lack of observable inputs may significantly impact the resulting fair value and therefore the Partnership's results of operations.

Investments may be classified as level 2 when market information becomes available, yet the investment is not traded in an active market and/or the investment is subject to transfer restrictions, or the valuation is adjusted to reflect illiquidity and/or non-transferability or other factors.

Investments in restricted securities of public companies cannot be offered for sale to the public until the Partnership complies with certain statutory requirements. The valuation of the securities by management takes into consideration the type and duration of the restriction, but in no event does the valuation exceed the listed price on a national securities exchange or the NASDAQ national market. Investments in restricted securities of public companies are generally included in level 2 of the fair value hierarchy.

Investments whose values are based on quoted market prices in active markets, and are therefore classified within level 1, generally include active listed equities. The General Partner does not adjust the quoted price for such instruments, even in situations where the Partnership holds a large position and a sale could reasonably impact the quoted price.

The following table presents the investments carried on the Statement of Assets, Liabilities and Partners' Capital by level within the valuation hierarchy as of June 30, 2022.

	Assets at Fair Value as of June 30, 2022			
	Level 1	Level 2	Level 3	Total
Investments:				
Private equity holdings	$ -	$ 659,830	$ 6,528,000	$ 7,187,830
Public equity securities	-	-	-	-
	$ -	$ 659,830	$ 6,528,000	$ 7,187,830

The following table summarizes the valuation methodology and significant unobservable inputs used for investments that are categorized within Level 3 of the fair value hierarchy as of December 31, 2021.

Assets (at fair value)	**Fair Value at December 31, 2021**	**Valuation Techniques**	**Unobservable Inputs**	**Range of Inputs (Weighted Average)**
Investments in Equity of Privately Held Companies	$ 6,678,000	Recent transactions approximates Fair Value	Recent transactions	N/A
	$ 3,372,000	Income Approach	Cash flow multiple	4.0x

During the six months ended June 30, 2022, there were no purchases of level 3 investments. The classification of an investment within level 3 is based upon the significance of the unobservable inputs to the overall fair value measurement.

Transfers into and out of Level 3 are recorded at the value of the assets at the beginning of the year. During the six months ended June 30, 2022, the Partnership did not have any transfers between any levels of the fair value hierarchy. Because of the inherent uncertainty of valuation of these level 3 investments, those estimated values may differ significantly from values that would have been used had a ready market for the investments existed. Such differences could be material.

Concentration of Risk

As the Partnership's investments are primarily in the domestic independent oil and gas sector, revenue and profitability are dependent upon numerous factors beyond the Partnership's control, such as economic and political developments in the industry and competition from other sources of energy. The energy markets have historically been very volatile and there can be no assurance that oil and gas prices will not be subject to wide fluctuations in the future. A substantial or extended decline in oil and gas prices could have a material adverse effect on the Partnership's financial position, results of operations and cash flows.

The Partnership's investment program requires a moderate amount of diversification among its portfolio companies. Under the Partnership Agreement, the Partnership may not invest more than 15% of total commitments in any one portfolio company without consent of at least 80% of the Limited Partners. This policy may subject the Partnership to greater volatility than would usually be present in a more diversified portfolio, inasmuch as poor performance with respect to any one investment by the Partnership may expose the Partnership to a greater degree of loss than would be the case with a more broadly diversified investment program.

Most of the total commitment will be invested in privately negotiated equity and equity-related investments. Generally, there is no readily available market for such investments and, as such, the Partnership might take longer to liquidate these positions than would be the case for investments in publicly traded securities. Although these securities may be resold in privately negotiated transactions, the prices on these sales could be less than those originally paid by the Partnership. Also, issuers whose securities are not publicly traded may not be subject to public disclosure and other investor protection requirements applicable to publicly traded securities. In addition, the issuers of such privately negotiated securities are companies which typically have limited capitalization and limited operating histories, companies operating at a loss or with significant variations in operating results from period to period, companies which may need substantial additional capital to support operations and growth, and companies which may be highly leveraged. By their nature, such investments possess a high degree of business and financial risk that may result in substantial losses.

Cash and Cash Equivalents

Cash and cash equivalents consist of demand deposits and cash held in Fidelity Investments Money Market Funds Treasury Portfolio – Class I ("Fidelity money market account"), a money market fund which contains investments with weighted average maturities of three months or less. As of June 30, 2022, the Partnership has cash in its Fidelity money market account of $4,030,686. The Partnership places its cash and cash equivalents with financial institutions and, at times, cash held in bank accounts may exceed the Federal Deposit Insurance Corporation insured limit. Cash and cash equivalents are classified as Level 1 assets and are carried at cost or amortized cost which approximates fair value.

Income and Expense

Income and expenses from the Partnership's general operations are recognized on the accrual basis.

Investment Transactions and Related Investment Income

Investment transactions are accounted for on trade-date basis. Dividend income is recorded on the record date with the exception of dividend income from marketable securities which is recorded on the ex-dividend date.

Gains or Losses on Investments

Realized gains and losses on investments represent the difference between the original cost of the investments and the related fair value at the sale or distribution date, net of expenses, as well as write-offs. The difference between the original cost and the estimated fair value of investments, including any receivable for holdbacks, owned at the end of the period represents unrealized gains or losses.

Foreign Currency

Portfolio investments denominated in foreign currencies are translated into U.S. dollar amounts at period end. Purchases and sales of portfolio investments denominated in foreign currencies are translated into U.S. dollar amounts on the respective acquisition or disposition dates of such transactions.

Income Taxes

No provision for federal income taxes is included in the accompanying financial statements. As the Partnership is not subject to income taxation, the tax effects of its activities accrue to the individual partners.

The Partnership's tax returns are subject to examination by federal and state taxing authorities. As of December 31, 2021, the earliest tax year that remains subject to examination under the standard limitation period is 2018. Pursuant to the Bipartisan Budget Act of 2015, for tax years beginning after December 31, 2017, if the IRS makes audit adjustments to the Partnership's income tax returns, it (and some states) may assess and collect any taxes (including any applicable penalties and interest) resulting from such audit adjustments directly from the Partnership. To the extent possible under the new rules, the Partnership's general partner may elect to either pay the taxes (including any applicable penalties and interest) directly to the IRS or, if eligible, issue a revised information statement to each current limited partner and former limited partner with respect to an audited and adjusted return. Although the Partnership's general partner may elect to have the limited partners take such audit adjustment into account and pay any resulting taxes (including applicable penalties or interest) in accordance with their interests in the Partnership during the tax year under audit, there can be no assurance that such election will be practical, permissible or effective in all circumstances. As a result, current limited partners may bear some or all of the tax liability resulting from such audit adjustment, even if such limited partners did not own an interest in the Partnership during the tax year under audit. If, as a result of any such audit adjustment, the Partnership is required to make payments of taxes, penalties and interest, the cash available for distribution to our limited partners might be substantially reduced. These rules are not applicable for tax years beginning on or prior to December 31, 2017.

In accordance with a provision of the FASB guidance "Income Taxes", the General Partner is required to determine whether a tax position of the Partnership is more likely than not to be sustained upon examination by the applicable taxing authority, including resolution of any related appeals or litigation processes, based on the technical merits of the position. The tax benefit to be recognized is measured as the largest amount of benefit that is greater than fifty percent likely of being realized upon ultimate settlement which could result in the Partnership recording a tax liability that would reduce partners' capital. Based on the General Partner's analysis, there are no material disclosures or adjustments impacting the Partnership's financial statements as of June 30, 2022. The Partnership does not expect that its assessment regarding unrecognized tax benefits will materially change over the next twelve months. However, the General Partner's conclusions may be subject to review and adjustment at a later date based on on-going analyses of tax laws, regulations and interpretations thereof and other factors.

NOTE 3 – INVESTMENT TRANSACTIONS:

The Partnership made equity investments in certain private entities that are primarily engaged in the acquisition, development and operation of oil and gas properties. Generally, the related limited liability company and partnership agreements provide for a specified percentage sharing of revenues and expenses until the Partnership has achieved a specified internal rate of return and return on investment. After this level of return has been achieved, the percentage-sharing ratio is adjusted to provide for an increased allocation to the management group of the investee and a decreased allocation to the Partnership.

Total contributions to and proceeds from investments are as follows:

	Six months ended June 30, 2022	
	Contributions	Proceeds
Private equity investment holdings:		
Malaga Minerals LLC	$ -	$ 3,526,345
Limestone II Holding Company, LLC	-	2,293,998
PEP II Holdings, LLC	-	47,138,719
Public equity investment holdings:		
Earthstone Energy Inc.	-	51,191,069
	$ -	$ 104,150,131

In April 2022, the Partnership sold all 4,611,808 shares of Earthstone Energy Inc. and received cash proceeds of $51,191,069, resulting in a realized loss of $205,193,489.

In April 2022, PEP II Holdings, LLC sold the majority of its assets and distributed $47,138,719 to the Partnership, resulting in a realized gain of $25,020,697.

In April 2022, the Partnership received final liquidating proceeds of $2,293,998 from Limestone II Holding Company, LLC, resulting in a realized gain of $2,066,126.

In February 2022, the Partnership received additional sales proceeds from Malaga Minerals LLC of $3,526,345, resulting in a realized gain of $3,526,345.

NOTE 4 – ALLOCATIONS TO PARTNERS:

The Partnership Agreement provides that net increase (decrease) in partners' capital resulting from operations associated with the Partnership is allocated 2.0% to the General Partner and 98.0% to the Limited Partners (Partners' Sharing Ratio) until such time as the Limited Partners receive an 8% internal rate of return on their investment (Preferred Return Payout). After Preferred Return Payout is achieved, the General Partner is allocated 80% of all distributions and the Partners are allocated the remaining 20% in proportion to their respective ownership percentages until such time the General Partner has been distributed 20% of total net distributions from the Partnership (Catch-Up Payout). After Catch-Up Payout is achieved, cash distributions are allocated 80% to the Partners in proportion to their ownership shares and 20% to the General Partner. Upon liquidation of the Partnership, the General Partner will be required to restore funds to the Partnership to the extent distributions are in excess of 20% of distributions made after Preferred Return Payout. Funds returned to the Partnership for this purpose will be distributed to the Limited Partners in proportion to their aggregate funded commitments.

Net increase (decrease) in partners' capital resulting from operations was allocated between the General Partner and Limited Partners in accordance with the allocation methodology described above. During the six months ended June 30, 2022, net increase in partners' capital resulting from operations allocated to the General Partner and Limited Partners was $1,189,472 and $4,317,348, respectively, which includes an unrealized incentive allocation to the General Partner of $1,079,336.

NOTE 5 – TRANSACTIONS WITH RELATED PARTIES:

The General Partner initially receives an annual management fee equal to 2% of partner commitments up to $1,500,000,000 and 1.5% of partner commitments on the remaining $1,051,020,408, payable in advance at the beginning of each quarter. The initial management fee period expires upon the earlier of (a) five years from the final closing date, (b) the date the fund is fully invested, (c) the date a subsequent fund organized by the General Partner makes its first investment or (d) the occurrence of certain other events as specified in the Partnership Agreement. After such time, the annual management fee is equal to 1.5% of the Partnership's cash investment in remaining portfolio investments reduced by amounts distributed to the extent such amounts constitute a return of capital and any write-down or write-off where the General Partner has determined that such portfolio investment will not be repaid or recouped by the Partnership. The initial management fee period for the Partnership expired as of November 15, 2010 upon EnCap Energy Capital Fund VIII, L.P.'s initial portfolio company investment. The management fee paid by the Partnership is reduced by 50% of any transaction fees received by the General Partner. The management fee constitutes full reimbursement by the Partnership to the General Partner for the General Partner's administrative expenses, including, but not limited to, salaries and wages of officers and employees of the General Partner, office rent, utilities and other general, administrative and overhead expenses. In accordance with the Partnership Agreement, amended July 28, 2017, no additional management fees are charged to the Partnership after June 30, 2017 through the remainder of the life of the Partnership.

During the six months ended June 30, 2022, the Partnership reimbursed EnCap Investments L.P. ("EnCap"), an affiliate of the Partnership, $439,626 for general and administrative expenses. At June 30, 2022, the Partnership owed $0 to EnCap for general and administrative expenses.

Managing Directors of the General Partner may serve on the Board of Directors of the Partnership's underlying portfolio companies.

Pursuant to the Partnership Agreement, the Partnership has agreed to indemnify the General Partner and its affiliates against certain losses and other liabilities to which they may become subject in connection with matters arising out of or in connection with the Partnership's business and affairs. The Partnership believes that it is unlikely that it will have to make material payments under these arrangements, and no liabilities related to these indemnifications have been recognized on the accompanying Statement of Assets, Liabilities and Partners' Capital.

NOTE 6 – CONTINGENCIES:

The Partnership's investments are subject to legal proceedings, claims, and litigation arising in the ordinary course of business. Each investee defends itself vigorously against any such claims. Although the outcome of these matters is currently not determinable, the General Partner does not expect that the ultimate costs to resolve these matters will have a material adverse effect on its financial position, results of operations, or cash flows.

NOTE 7 – FINANCIAL HIGHLIGHTS:

The following financial highlights for the year ended December 31, 2021, have been calculated in accordance with guidance provided in Accounting Standards Codification 946, "Financial Services – Investment Companies":

Net investment income ratio	10.3%
Expense ratios:	
Operating expenses	0.5%
Unrealized incentive allocation	20.1%
Operating expenses and unrealized incentive allocation ratio	20.6%
Internal rate of return net of incentive allocation (Inception to December 31, 2021)	14.5%
Internal rate of return net of incentive allocation (Inception to December 31, 2020)	14.2%

The net investment income and expense ratios are calculated for the Limited Partners taken as a whole. The net investment income and operating expenses ratios do not reflect the effects of the incentive allocation to the General Partner. The internal rate of return from inception is calculated based on the actual dates of the cash inflows and outflows and the residual value of the Limited Partners' capital account, net of all incentive allocations, as of each measurement date. Future realization of investments may be at different values than currently carried fair values, resulting in rates of return that may differ materially from that indicated above.

ENCAP ENERGY CAPITAL FUND VII-B, L.P. AND SUBSIDIARY

CONSOLIDATED FINANCIAL STATEMENTS

JUNE 30, 2022

ENCAP ENERGY CAPITAL FUND VII-B, L.P. AND SUBSIDIARY

CONSOLIDATED STATEMENT OF ASSETS, LIABILITIES AND PARTNERS' CAPITAL

		June 30, 2022
ASSETS		
Investment in EnCap Energy Capital Fund VII, L.P., at fair value	$	1,671,962
Cash and cash equivalents		145,573
Taxes receivable		471,424
Due from affiliate		36,635
Total assets	$	2,325,594
LIABILITIES AND PARTNERS' CAPITAL		
Due to affiliate	$	-
Deferred tax liability		106,289
Total liabilities		106,289
Partners' capital:		
General Partner		-
Limited Partners		2,219,305
Total partners' capital		2,219,305
Total liabilities and partners' capital	$	2,325,594

The accompanying notes are an integral part of these consolidated financial statements.

ENCAP ENERGY CAPITAL FUND VII-B, L.P. AND SUBSIDIARY

CONSOLIDATED STATEMENT OF OPERATIONS

	Six months ended June 30, 2022
Net investment income allocated from EnCap Energy Capital Fund VII, L.P.:	
Investment income	$ 514,161
Investment expense	(77,494)
Net investment income allocated from EnCap Energy Capital Fund VII, L.P.	436,667
Investment income:	
Interest	128
Total investment income	128
Expenses:	
General and administrative	113,509
Total expenses	113,509
Net investment income	323,286
Realized and unrealized gain (loss) on investments allocated from EnCap Energy Capital Fund VII, L.P.:	
Net realized loss on investments	(33,564,184)
Net change in unrealized depreciation on investments	34,186,238
Allocation of unearned carried interest	(211,744)
Net realized and unrealized gain on investments allocated from EnCap Energy Capital Fund VII, L.P.	410,310
Income before provision for income taxes	733,596
Provision for income taxes	108,430
Net increase in partners' capital resulting from operations	$ 625,166

The accompanying notes are an integral part of these consolidated financial statements.

ENCAP ENERGY CAPITAL FUND VII-B, L.P. AND SUBSIDIARY

CONSOLIDATED STATEMENT OF CHANGES IN PARTNERS' CAPITAL

	General Partner	Limited Partners	Total
Partners' capital at December 31, 2021	$ -	$ 17,432,265	$ 17,432,265
Capital distributions	-	(15,838,126)	(15,838,126)
Net increase in partners' capital resulting from operations	-	625,166	625,166
Partners' capital at June 30, 2022	$ -	$ 2,219,305	$ 2,219,305

The accompanying notes are an integral part of these consolidated financial statements.

ENCAP ENERGY CAPITAL FUND VII-B, L.P. AND SUBSIDIARY

CONSOLIDATED STATEMENT OF CASH FLOWS

	Six months ended June 30, 2022
Cash flows from operating activities:	
Net increase in partners' capital resulting from operations	$ 625,166
Adjustments to reconcile increase in partners' capital resulting from operations to net cash provided by operating activities:	
Proceeds from EnCap Energy Capital Fund VII, L.P.	16,091,705
Net investment income allocated from EnCap Energy Capital Fund VII, L.P.	(436,667)
Realized loss on investment	33,564,184
Change in unrealized depreciation on investment	(34,186,238)
Allocation of unearned carried interest	211,744
Change in operating assets and liabilities	
(Increase) decrease in taxes receivable	(460,458)
(Increase) decrease in due from affiliate	(36,635)
Increase (decrease) in due to affiliates	(12,256)
Increase (decrease) in deferred tax liability	106,289
Net cash provided by operating activities	15,466,834
Cash flows from financing activities:	
Distributions to partners	(15,838,126)
Net cash used for financing activities	(15,838,126)
Net change in cash and cash equivalents	(371,292)
Cash and cash equivalents, beginning of period	516,865
Cash and cash equivalents, end of period	$ 145,573

The accompanying notes are an integral part of these consolidated financial statements.

NOTES TO CONSOLIDATED FINANCIAL STATEMENTS

NOTE 1 – ORGANIZATION:

EnCap Energy Capital Fund VII-B, L.P. (the “Partnership”), a Texas limited partnership, was formed on June 22, 2007 to provide its partners with an opportunity to participate as a limited partner in EnCap Energy Capital Fund VII, L.P. (“Fund VII”), a Texas limited partnership. Fund VII was formed on June 22, 2007 to invest in privately negotiated equity and equity-related investments in the upstream and midstream independent oil and gas sector of North America. The Partnership operates pursuant to an Amended and Restated Agreement of Limited Partnership (the “Partnership Agreement”) dated March 31, 2009, which should be referred to for a complete description of the provisions of the Partnership. EnCap Equity Fund VII GP, L.P. (“General Partner”), a Texas limited partnership, is the sole general partner for the Partnership and the general partner of Fund VII. The General Partner does not own an economic interest in the Partnership.

There are 63 investors owning the limited partnership interests (“Limited Partners”) in the Partnership. The Limited Partners’ total capital commitments to the Partnership are $490.5 million. There were no remaining commitments outstanding by the Partners to the Partnership.

EnCap VII-B Acquisitions, Inc. (“Fund VII-B Inc.”), a wholly-owned subsidiary of the Partnership, was formed on August 31, 2007 for the purpose of being a limited partner of and holding record title to the limited partner interest in Fund VII. As a limited partner in Fund VII, the Partnership through Fund VII-B Inc. indirectly invests in all corresponding investments in Fund VII and receives a proportionate amount of investment income, gains (losses) and expenses equal to its relative contribution of capital as pursuant to the Fund VII partnership agreement. The financial statements of Fund VII, including the Schedule of Investments, are attached to this report and should be read with the Partnership’s financial statements. The Partnership’s consolidated funded ownership interest in Fund VII is 19.22564%.

The Partnership was to be dissolved upon the expiration of a 10-year period ending July 31, 2017. On July 28, 2017, the Partnership Agreement was amended to extend the life of the Partnership until December 31, 2018. The amendment was approved by greater than 80% of the Limited Partners. As of December 31, 2018, Fund VII began the process of selling all remaining investments and winding down operations, in accordance with the amended Partnership Agreement. Due to recent market conditions, the Partnership is expected to be completely wound down in 2022.

NOTE 2 – SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES:

Basis of Presentation

The accompanying consolidated financial statements have been prepared on the accrual basis in accordance with accounting principles generally accepted in the United States of America (“GAAP”), and include the accounts of Fund VII-B Inc. The Partnership is considered an investment company under GAAP and follows the accounting and reporting guidance applicable to investment companies in the Financial Accounting Standards Board Accounting Codification (“ASC”) 946, Financial Services – Investment Companies.

Consolidation

Fund VII-B, Inc. is included in the accounts of the Partnership. All intercompany balances and transactions have been eliminated from the consolidated financial statements.

Use of Estimates

The preparation of financial statements in conformity with accounting principles generally accepted in the United States of America requires the General Partner to make estimates and assumptions that affect the reported amounts of assets and liabilities and disclosure of contingent assets and liabilities at the dates of the financial statements and the reported amounts of revenue and expenses during the reporting period. Actual results, including the ultimate amount realized upon the sale of illiquid and/or fair valued investments, can, and often do, differ from those estimates.

Investment valuation and transactions

The Financial Standards Accounting Board ("FASB") guidance "Fair Value Measures," establishes a fair value hierarchy that prioritizes the inputs to valuation techniques used to measure fair value. The hierarchy gives the highest priority to unadjusted quoted prices in active markets for identical assets or liabilities (level 1 measurement) and the lowest priority to unobservable inputs (level 3 measurements). The three levels of the fair value hierarchy under the guidance are as follows:

Level 1 Inputs that reflect unadjusted quoted prices in active markets for identical assets or liabilities that the Partnership has the ability to access at the measurement date;

Level 2 Inputs other than quoted prices that are observable for the asset or liability either directly or indirectly, including inputs in markets that are not considered to be active;

Level 3 Prices, inputs or modeling techniques which are both significant to the fair value measurement and unobservable (supported by little or no marked activity).

As of June 30, 2022, the investment in Fund VII is excluded from the fair value hierarchy leveling as the fair value of the investment was measured at net asset value ("NAV") using the practical expedient. Fund VII's valuation policies are discussed in Note 2 of the Fund VII financial statements attached to this report.

Concentration of Risk

As the Partnership's investments are primarily in the domestic independent oil and gas sector, revenue and profitability are dependent upon numerous factors beyond the Partnership's control, such as economic and political developments in the industry and competition from other sources of energy. The energy markets have historically been very volatile and there can be no assurance that oil and gas prices will not be subject to wide fluctuations in the future. A substantial or extended decline in oil and gas prices could have a material adverse effect on the Partnership's financial position, results of operations and cash flows.

Fund VII's investment program requires a moderate amount of diversification among its portfolio companies. Under the Partnership Agreement, Fund VII may not invest more than 15% of total commitments in any one portfolio company without consent of at least 80% of its limited partners. This policy may subject Fund VII to greater volatility than would usually be present in a more diversified portfolio, inasmuch as poor performance with respect to any one investment by the Fund VII may expose it to a greater degree of loss than would be the case with a more broadly diversified investment program.

Most of the total commitment will be invested through Fund VII in privately negotiated equity and equity-related investments. Generally, there is no readily available market for such investments and, as such, Fund VII might take longer to liquidate these positions than would be the case for investments in publicly traded securities. Although these securities may be resold in privately negotiated transactions, the prices on these sales could be less than those originally paid by Fund VII. Also, issuers whose securities are not publicly traded may not be subject to public disclosure and other investor protection requirements applicable to publicly traded securities. In addition, the issuers of such privately negotiated securities are companies which typically have limited capitalization and limited operating histories, companies operating at a loss or with significant variations in operating results from period to period, companies which may need substantial additional capital to support operations and growth, and companies which may be highly leveraged. By their nature, such investments possess a high degree of business and financial risk that may result in substantial losses.

Cash and Cash Equivalents

Cash and cash equivalents consist of demand deposits and cash held in Fidelity Investments Money Market Funds Treasury Portfolio – Class I (“Fidelity money market account”), a money market fund which contains investments with weighted average maturities of three months or less. As of June 30, 2022, the Partnership has cash in its Fidelity money market account of $145,573. The Partnership places its cash and cash equivalents with financial institutions and, at times, cash held in bank accounts may exceed the Federal Deposit Insurance Corporation insured limit. Cash and cash equivalents are classified as Level 1 assets and are carried at cost or amortized cost which approximates fair value.

Income and Expense

Income and expenses from the Partnership’s general operations are recognized on the accrual basis.

Gains or Losses on Investments

Realized gains and losses on investments represent the difference between the pro-rata allocation of Fund VII’s original cost of the investments and the related fair value at the sale or distribution date, net of expenses, as well as write-offs. The difference between the original cost and the estimated fair value of investments, including any receivable for holdbacks, owned at the end of the period represents unrealized gains or losses.

Foreign Currency

Portfolio investments denominated in foreign currencies are translated into U.S. dollar amounts at period end. Purchases and sales of portfolio investments denominated in foreign currencies are translated into U.S. dollar amounts on the respective acquisition or disposition dates of such transactions.

Income Taxes

The Partnership’s consolidated financial statements include provisions for income tax expense and income taxes payable by its subsidiary, Fund VII-B Inc. In accordance with FASB guidance “Income Taxes”, Fund VII-B Inc. provides for all income taxes payable and for deferred taxes arising from temporary differences between the book and tax bases of assets and liabilities using enacted tax rates and laws in effect in the years in which differences are expected to reverse. Income taxes paid and payable by Fund VII-B Inc. are allocated to the Partners based on their respective sharing percentages in effect at the time the respective expense or benefit is incurred. A valuation allowance is recognized for deferred tax assets if it is more likely than not that some or all of the deferred tax asset will not be realized.

The Partnership is not subject to income taxation, the tax effects of its activities accrue to the individual partners. The Partnership’s tax returns are subject to examination by federal and state taxing authorities. As of December 31, 2021, the earliest tax year that remains subject to examination under the standard limitation period is 2018. Pursuant to the Bipartisan Budget Act of 2015, for tax years beginning after December 31, 2017, if the IRS makes audit adjustments to the Partnership’s income tax returns, it (and some states) may assess and collect any taxes (including any applicable penalties and interest) resulting from such audit adjustments directly from the Partnership. To the extent possible under the new rules, the Partnership’s general partner may elect to either pay the taxes (including any applicable penalties and interest) directly to the IRS or, if eligible, issue a revised information statement to each current limited partner and former limited partner with respect to an audited and adjusted return. Although the Partnership’s general partner may elect to have the limited partners take such audit adjustment into account and pay any resulting taxes (including applicable penalties or interest) in accordance with their interests in the Partnership during the tax year under audit, there can be no assurance that such election will be practical, permissible or effective in all circumstances. As a result, current limited partners may bear some or all of the tax liability resulting from such audit adjustment, even if such limited partners did not own an interest in the Partnership during the tax year under audit. If, as a result of any such audit adjustment, the Partnership is required to make payments of taxes, penalties and interest, the cash available for distribution to our limited partners might be substantially reduced. These rules are not applicable for tax years beginning on or prior to December 31, 2017.

The General Partner is required to determine whether a tax position of the Partnership is more likely than not to be sustained upon examination by the applicable taxing authority, including resolution of any related appeals or litigation processes, based on the technical merits of the position. The tax benefit to be recognized is measured as the largest amount of benefit that is greater than fifty percent likely of being realized upon ultimate settlement which could result in the Partnership recording a tax liability that would reduce partners' capital. Based on the General Partner's analysis, there are no material disclosures or adjustments impacting the Partnership's financial statements as of June 30, 2022. The Partnership does not expect that its assessment regarding unrecognized tax benefits will materially change over the next twelve months. However, the General Partner's conclusions may be subject to review and adjustment at a later date based on on-going analyses of tax laws, regulations and interpretations thereof and other factors.

NOTE 3 – ALLOCATIONS TO PARTNERS:

The Partnership agreement provides that net increase (decrease) in partners' capital resulting from operations associated with the Partnership is allocated 100% to the Limited Partners on a pro-rata basis.

NOTE 4 – TRANSACTIONS WITH RELATED PARTIES:

During the six months ended June 30, 2022, the Partnership reimbursed EnCap Investments L.P. ("EnCap"), an affiliate of the Partnership, $0 for general and administrative expenses. At June 30, 2022, the Partnership owed $125,766 to EnCap for general and administrative expenses.

NOTE 5 – INCOME TAXES:

The Partnership, in consolidating Fund VII-B Inc., recorded an income tax benefit of $90,483 during the year ended December 31, 2021. Set forth below is reconciliation between taxes on income subject to taxation computed at the Federal statutory rate of 21% and the Partnership's reported provision for income taxes:

		December 31, 2021
Income before income taxes	$	14,278,341
Nontaxable partnership loss		(14,774,681)
Income subject to taxation	$	(496,340)
Income taxes on above at statutory rate	$	(104,231)
State taxes		2,001,296
Valuation allowance		(1,688,059)
Other		(80,957)
Provision to return		(218,532)
Income Taxes	$	(90,483)

The following table reflects the components of income tax benefit included in income from continuing operations:

		December 31, 2021
Current		
Federal	$	-
State		(90,483)
Total Current		(90,483)
Deferred		
Federal		-
State		-
Total Deferred		-
Total income taxes	$	(90,483)

The Partnership has recorded a net deferred tax asset of approximately $9,524,935 during the tax year ended December 31, 2021, primarily related to net operating loss carryforwards and deferred interest deductions. The Partnership has $68,793,803 of federal net operating loss carryforwards as of December 31, 2021, and state net operating loss carryforwards of $44,935,556 that expire beginning in 2024. As a result of The Tax Reform Act, federal net operating losses and certain state net operating losses generated in tax years beginning after December 31, 2017, can be carried forward indefinitely. The Partnership has a general business tax credit of $26,350 that expires beginning in 2031. Realization of deferred tax assets associated with net operating loss carryforwards is dependent upon generating sufficient taxable income prior to their expiration. Management believes that the weight of available evidence suggests that it is more likely than not that the deferred tax asset will not be realized as of December 31, 2021 and have provided a full valuation allowance against the deferred tax asset.

The Partnership's deferred tax asset is comprised of the following:

		December 31, 2021
Net operating loss carryforwards	$	15,622,292
General business tax credit		26,350
Deferred interest deductions and other		389,700
Valuation allowance		(9,524,935)
Deferred tax asset		6,513,407
Book versus tax basis difference in investments		(6,513,407)
Deferred tax liability		(6,513,407)
Net deferred tax asset/(liability)		-

As of December 31, 2021, the Partnership has examined all material federal and state tax positions for all open tax years and is not aware of any uncertain tax positions requiring adjustments to the tax liability. If applicable, we will record to the income tax provision any interest and penalties related to unrecognized tax positions. Fund VII B Inc.'s U.S. federal tax return for the year ending December 31, 2019 is currently under IRS examination. The IRS is reviewing the minimum tax credit carryforward from the 2019 tax year. No changes have been proposed at this time.

NOTE 6 – FINANCIAL HIGHLIGHTS:

The following financial highlights for the year ended December 31, 2021, have been calculated in accordance with guidance provided in Accounting Standards Codification 946, "Financial Services – Investment Companies":

Net investment income ratio	9.4%
Expense ratios:	
Expenses	0.7%
Unrealized incentive allocation	19.6%
Expenses including unrealized incentive allocation ratio	20.3%
Internal rate of return net of incentive allocation (Inception to December 31, 2021)	11.6%
Internal rate of return net of incentive allocation (Inception to December 31, 2020)	11.2%

The net investment income and expense ratios are calculated for the Limited Partners taken as a whole. The net investment income and expenses ratios do not reflect the effects of the incentive allocation to the General Partner. The expenses ratio includes expenses allocated from Fund VII and the impact of the income tax provision. The internal rate of return from inception is calculated based on the actual dates of the cash inflows and outflows and the residual value of the Limited Partners' capital account, net of all incentive allocations, as of each measurement date. Future realization of investments may be at different values than currently carried fair values, resulting in rates of return that may differ materially from that indicated above.

NOTE 7 – CONTINGENCIES:

The Partnership's investments are subject to legal proceedings, claims, and litigation arising in the ordinary course of business. Each investee defends itself vigorously against any such claims. Although the outcome of these matters is currently not determinable, the General Partner does not expect that the ultimate costs to resolve these matters will have a material adverse effect on its financial position, results of operations, or cash flows.